

THE EM TRADER

Curves, Chips, Crude and Carry

- **EM FX: Navigating Energy and Rate Risks.** With the re-escalation of the Iran conflict, EM currencies have depreciated versus the Dollar, with energy importers once again underperforming and exporters outperforming. Still, the magnitude of FX moves has been smaller for a similar move in oil to that in March. We attribute this to (1) a more benign risk backdrop, which we think helps explain the better performance of high-beta BRL and COP, (2) the fact that FX had not fully retraced back to its pre-war levels, with many energy importers trading close to their weakest levels in early July, and (3) the underlying terms of trade shock being also smaller in magnitude, especially for CLP and PEN given copper price resilience. When linking FX moves to these fundamentals, we find that most EM currencies outperformed our model slightly during the recent re-escalation episode, contrasting with the sharp underperformance in early March. KRW and COP outperformance and ZAR, CLP and MXN underperformance stand out relative to our model's inputs.
- **Still a Path for RV Carry; Watching Carry-to-Vol Closely.** The disruptive Fed hike tail looks to be curtailed for now, but there are still rate risks from a continued selloff in the long-end of the curve and high energy prices. The easiest way to resolve these risks is a sustained path to lower energy prices, but until that point EM FX carry structures will likely continue to balance risk and reward by choosing both longs and funders carefully, maximising carry-to-vol and monitoring closely local developments that can challenge carry returns. **BRL** and **COP** remain the strongest propositions by a wide margin in both carry and carry-to-vol terms, and also benefit from higher energy prices, but are vulnerable to higher long-end US yields (and BRL specifically to upcoming election noise). Within the next set of currencies with around 3% carry versus the Dollar (INR, IDR, MXN, ZAR), there are importance differences in carry-to-vol dynamics and local developments that lead us to prefer **MXN** carry (rising carry-to-vol, especially versus Euro, greater exposure to US growth and resilience to oil price fluctuations), followed by **INR** (high carry-to-vol and central bank support, but limited scope for appreciation) and **ZAR** (much lower carry-to-vol but equally greater scope for spot appreciation on a conflict resolution), while maintaining a more cautious view on **IDR** (due to domestic developments). **HUF** carry has declined substantially since the election, making it increasingly more of a spot than a carry trade. We maintain a constructive HUF outlook over the

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medium term but think near-term dynamics look more challenging. Overall, our preferred funders in G10 are CHF, EUR, JPY and CAD in roughly that order, and in EM we think **THB**, **ILS** and **PLN** screen as attractive funders from both a carry and spot asymmetry perspective. **CLP's** low carry and high beta to risk and energy prices makes it an attractive funder for investors looking to neutralise broader risk exposures.

- **EM Local Rates: Fed up with Energy...** Uncertainty around a sustainable resolution to the Iran war and the energy price volatility this creates remains the primary driver of EM and G10 rates. While cleaner positioning, benign inflation prints and EM central bank reaction functions that have turned out to be more dovish relative to market pricing at the start of the war have helped trim the more adverse tails in local rates pricing despite the recent bouts of energy price increases, we continue to think that any relief is likely to be limited until there is more visibility on the supply side factors. It is therefore important to be tactical and selective against this backdrop of still elevated commodity prices and the prospects for core central bank hikes.
- **... But the Fatigue Is Uneven.** We prefer markets where rates have backed up and central banks lean dovish (PLN, HUF, ILS). Conversely, while we think EM Asia low-yielders (KRW, PHP) are pricing too much in the front-end, very accommodative real policy rates will likely keep hike pressures live. In LatAm, MXN is still vulnerable to Fed hikes given low rate differentials and high US front-end sensitivity; in BRL, despite the BCB's easing bias and attractive front-end in our view, high realised vol into the October elections keep us sidelined. Medium term, tight EM long-end spreads to the US and the possibility of elevated core duration (with a mild version emerging post-FOMC yesterday) limit the scope for broad-based long-end compression, except in select high-yielders with improving fiscal paths (INR, ZAR), or COP, which may join them.
- **EM Equities: Tech Unwind Extends, Non-Tech Resilient to Renewed Energy Shock.** The EM equity index (MSCI EM) has retraced 12% from its late June peak, reversing about half of its strong 1H gains driven by ongoing unwinds in crowded tech and AI infrastructure stocks, and renewed escalation in the US-Iran conflict. While the tech unwind has extended in recent days, non-tech EM equities have shown a muted response to rising oil prices so far, with MSCI EM ex-tech up 2% in July. This resilience is supported by lower starting valuations and price levels in oil-sensitive markets, which remain meaningfully below pre-war levels. Furthermore, strong micro fundamentals have cushioned the downside as early 2Q results are tracking ahead of consensus estimates, with positive median earnings surprise – and beats outpacing misses – driving further EPS upgrades.
- **Still Expect EM Broadening on Improving Earnings and Diversification Appeal.** While the global de-grossing in tech has accelerated in recent weeks amid investor fears around rising China competition, AI capex sustainability, and a high bar for 2Q tech earnings, we remain fundamentally constructive and expect continued strong profit growth in AI infrastructure stocks. Volatility could stay elevated in the near term, however, as leveraged positions, although reset from highs, have not fully cleared. As long as macro volatility related to oil and rates is contained, we continue

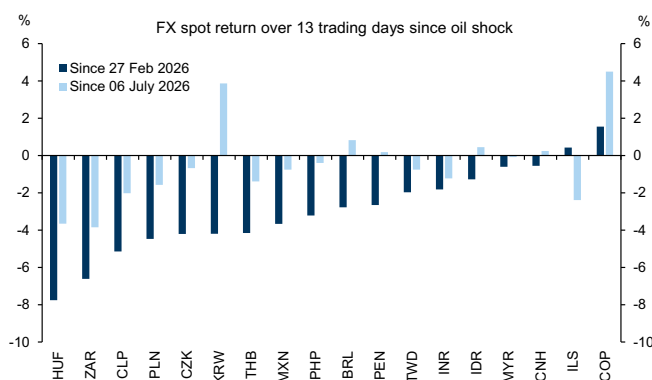
to expect a broadening in EM equities beyond tech, supported by underlying earnings accrual and the regional diversification appeal of non-tech markets, as evidenced during past major TMT drawdowns.

- **EM Sovereign Credit Issuance: Robust in H1, With More to Come in H2.** Despite concerns that large amounts of AI-related debt supply may be crowding out other sectors or countries, EM gross sovereign USD bond issuance has been robust so far this year, propelled by the forward spend on security and energy infrastructure by IG GCC sovereigns since the onset of the Iran war. Both EM IG and HY H1 issuance stand at their second-highest levels in a decade. Our core view is still that the drivers of such robust issuance include the prevalence of favourable issuance terms, with sovereigns taking advantage of tight spreads, and elevated investor demand for primary supply. Looking ahead, our updated full-year 2026 issuance forecast stands at ~US\$209bn, with the lion's share from IG (~US\$138bn, 66%), and HY contributing ~US\$72bn (34%). While our forecasts appear consistent with a bullish risk-on scenario that is not our baseline, we think they reflect a strong technical backdrop and a large idiosyncratic issuance profile from IG GCC sovereigns. This gross supply should translate into elevated net supply by the end of the year, which should in turn contribute to the moderate spread widening we expect over the next 12 months.

EM FX: Navigating Energy and Rate risks

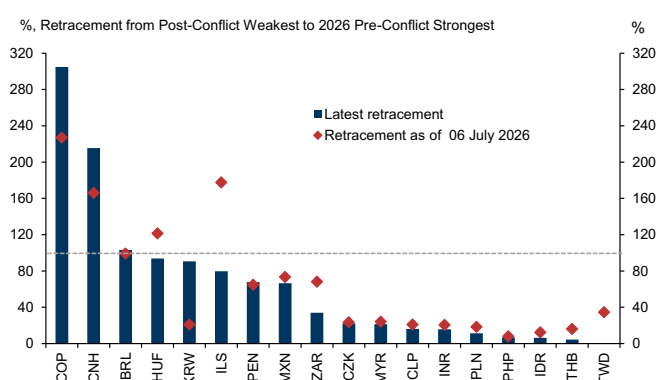
- **Re-escalation relative performance consistent with, but smaller magnitude than, the initial shock.** As oil prices rose through July (specifically, from the re-escalation of the US-Iran conflict on 6 July 2026 to the peak in oil prices on 23 July 2026), EM currencies generally depreciated versus the Dollar, with energy importers underperforming (especially those in CEEMEA and LatAm) and energy exporters (namely, COP and BRL) outperforming ([Exhibit 1](#)). These relative moves were largely consistent with the relative performance at the start of the conflict in early March, though KRW is a notable exception, BRL appreciated instead of depreciating and COP outperformed by more than in March. We noted that, while the oil move was similar over these July and March windows, broader risk did not sell off as much in July. We think this helps explain the smaller magnitude of the moves observed in July and the better performance of BRL and COP as energy exporters but equally high-beta currencies. Moreover, looking at where currencies were trading relative to their YTD range on July 6 (red diamonds in [Exhibit 2](#)), we find that most energy importers were close to their weakest levels, and had not recovered even as oil prices had fallen close to their pre-conflict levels. Most energy importers in Asia and CEEMEA (with the exception of CNH, KRW and HUF) are currently trading close to their weakest levels year-to-date.

Exhibit 1: EM FX responses have been broadly similar to the start of the war, but more muted overall, with a few notable outliers such as KRW and COP



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 2: Many energy importers were trading close to their weakest levels YTD even before the re-escalation

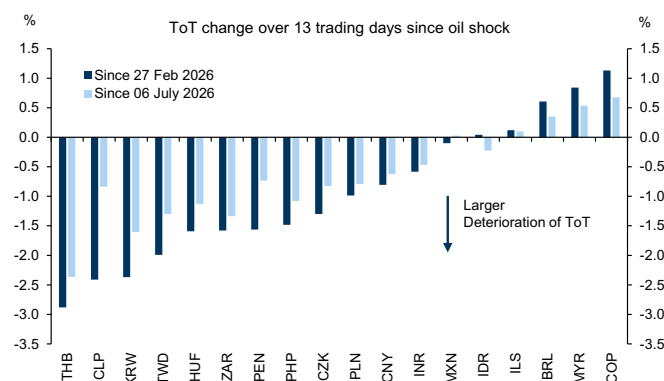


Source: Bloomberg, Goldman Sachs Global Investment Research

- **Broader terms of trade shift also smaller than in early March, with many energy importers' indices above their weakest levels YTD.** Looking more fundamentally at how terms of trade have shifted over this window in July versus at the start of the conflict, we also find that relative moves have been similar but the magnitudes have been smaller ([Exhibit 3](#)), which in our view can also help explain the smaller spot FX moves in energy importers ([Exhibit 1](#)). For CLP and PEN, the deterioration in terms of trade has been significantly smaller over the most recent window as copper prices have risen, whereas they had fallen in March. In level terms, our GS terms of trade indices are near their lowest levels for the year for many energy importers, especially HUF and ZAR, though still above their peak deterioration ([Exhibit 4](#)). Among the energy importers, CLP stands out again, with Chile's terms of trade not too far from the strongest levels YTD, and similarly INR and PLN terms of trade are far from their

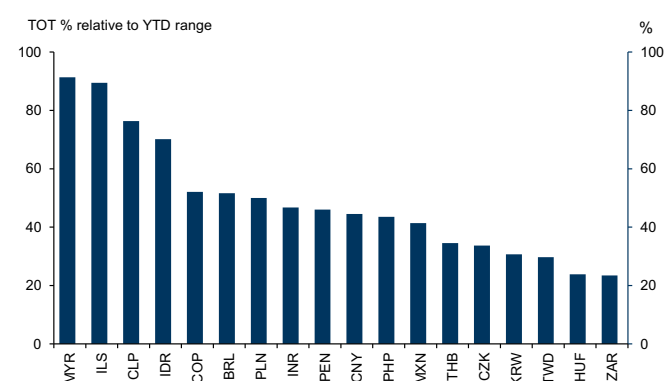
weakest levels YTD.

Exhibit 3: Shifts in terms of trade have been similar to the start of the war in relative terms, although the overall magnitude has been smaller



Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

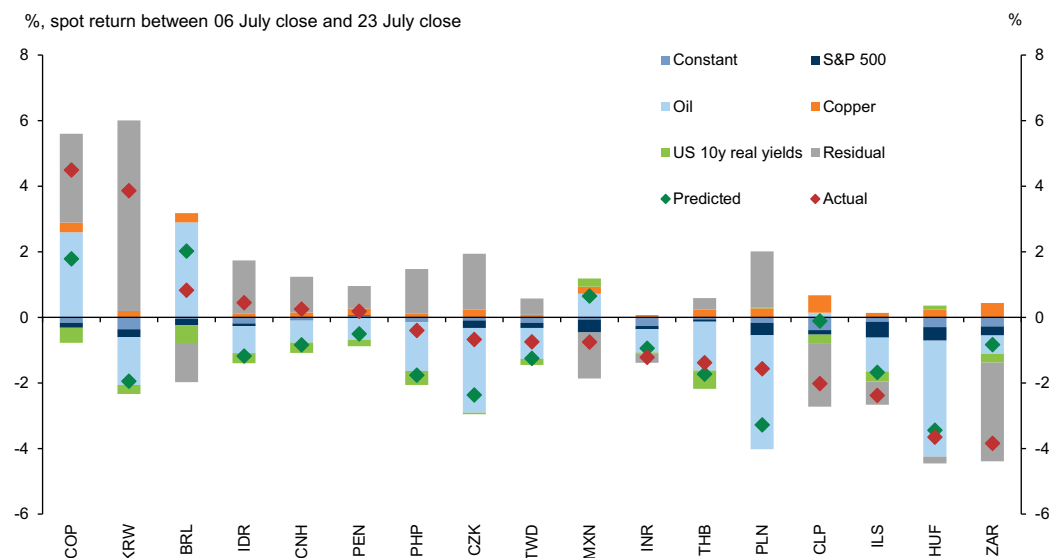
Exhibit 4: Terms of trade currently near their lowest YTD levels for many energy importers but CLP is key exception



Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

- Relative EM FX performance was broadly in line with model predictions, with oil prices the key factor driving relative performance.** In order to marry FX market moves with these other developments, we refreshed our simple model of FX returns relative to other market developments (S&P 500, oil and copper prices, and US 10-year real yields) over this period between July 6 and 23; [Exhibit 5](#) shows the ‘predicted’ returns of this model together with the contribution of each input and ‘actual’ returns. Overall, EM FX performance was broadly in line with model predictions, with oil prices the key factor driving relative performance. Energy exporters, such as BRL and COP, were the top performers, though COP outperformed the model-implied prediction whereas BRL slightly underperformed. Energy importers including ZAR, HUF, PLN, THB and PHP were the worst performers, but this can largely be explained by the model’s inputs, except for ZAR (more on this below). Compared with the [initial energy shock](#) in February, the deterioration in broader risk sentiment was more muted this time, resulting in a smaller overall depreciation across EM FX, as discussed above.

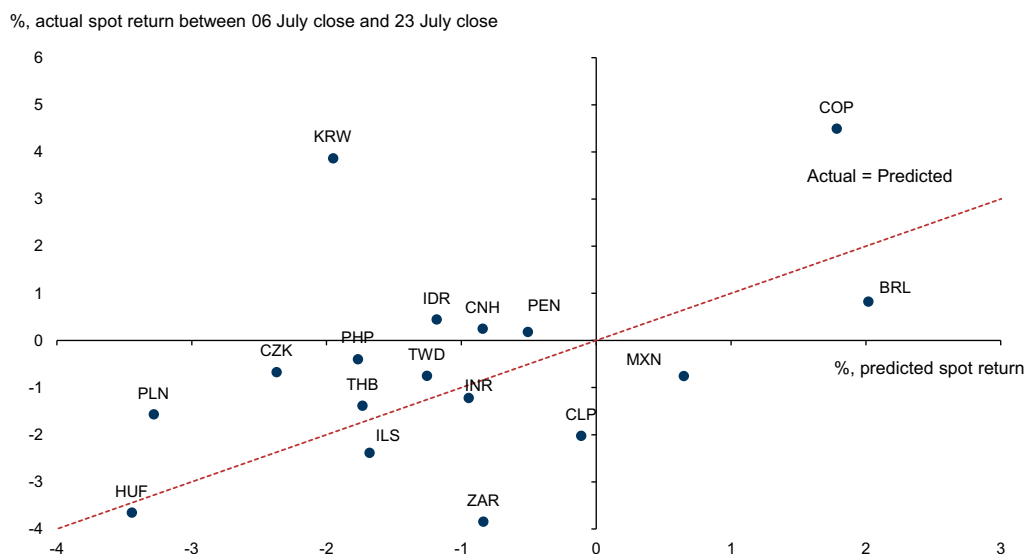
Exhibit 5: EM FX performance was broadly in line with model predictions, with oil prices the key factor driving relative performance



Predicted returns based on sensitivity of weekly FX returns vs USD to changes in the S&P, US 10-year real yields, oil and copper prices over the 5 years before February 27, 2026

Source: Bloomberg, Goldman Sachs Global Investment Research

- Most currencies slightly outperformed the model's inputs, with some exceptions.** In [Exhibit 6](#), we plot model-predicted returns on the x-axis against actual FX performance on the y-axis. In contrast to the first energy shock in February, when many currencies underperformed their model-implied returns, most EM currencies outperformed during the recent US-Iran re-escalation episode (i.e., lying above the 45-degree line). As discussed above, we think this partly reflects the fact that FX had not fully retraced from the initial shock prior to the renewed escalation and terms of trade shifts were broadly smaller than in March. There were, however, a few notable exceptions, with KRW and COP among the largest outperformers and ZAR, CLP and MXN among the largest underperformers (i.e., furthest away from the 45-degree line). We think these deviations can be explained by idiosyncratic developments. The **KRW** appreciation this month coincided with policy tightening, measures to curb leverage, and capital inflows associated with reduced equity-related outflows. For **COP**, continued optimism following the election and expectations of further policy rate hikes have provided support to the Peso beyond the boost from higher oil prices, in our view. By contrast, **ZAR** underperformed the most relative to model-implied returns, reflecting the SARB's against-consensus decision to keep interest rates on hold. **CLP** also underperformed relative to the model despite limited local developments. While the direction of the move is consistent with the shift in terms of trade, we believe the move may have gone too far relative to fundamentals, given that the deterioration in ToT has been significantly less severe than during the first energy shock in February.

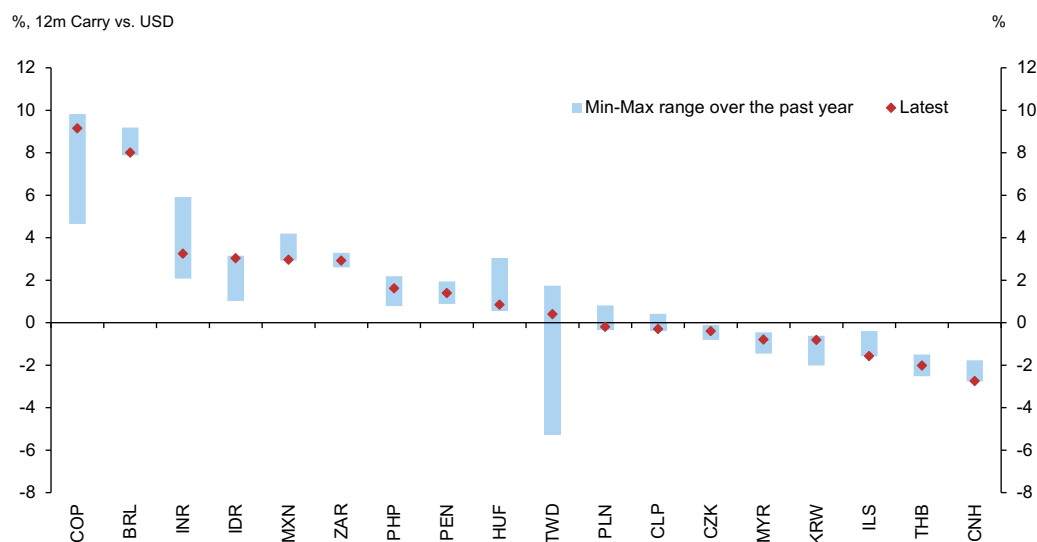
Exhibit 6: Most EM currencies outperformed model-implied returns based on other market variables during the recent US-Iran re-escalation episode


Source: Bloomberg, Goldman Sachs Global Investment Research

- Still a path for RV carry between energy and rate risks, watching carry-to-vol closely.** The disruptive Fed hike tail looks to be curtailed for now, especially given our economists' expectations for relatively soft upcoming inflation prints, but there are still rate risks from a continued selloff in the long-end of the curve and high energy prices. The easiest way to resolve these risks is a sustained path to lower energy prices, but until that point EM FX carry structures will likely continue to balance risk and reward by choosing both longs and funders carefully, maximising carry-to-vol and monitoring closely local developments that can challenge carry returns. Looking at carry and carry-to-vol ratios, **BRL** and **COP** remain the strongest propositions by a wide margin ([Exhibit 7](#)) and this is also the case in carry-to-vol terms versus the Dollar ([Exhibit 8](#)). Set against this high carry and positive exposure to energy prices, these currencies' high betas to US long-end yields are a key vulnerability. Between the two, the upcoming pick-up in election noise in Brazil and continuation of a rate cutting cycle (whereas BanRep in Colombia is likely to deliver another hike this week) lead us to prefer COP longs over BRL here. Within the next set of currencies with around 3% carry versus the Dollar (INR, IDR, MXN, ZAR), there are importance differences in carry-to-vol dynamics and local developments that lead us to prefer MXN carry followed by INR and ZAR, while maintaining a more cautious view on **IDR** due to domestic developments. **MXN** stands out from a carry-to-vol perspective, especially versus the Euro where this ratio has been steadily increasing ([Exhibit 9](#)). Moreover, the Peso's relative resilience to energy price shifts and exposure to US cyclical pricing argue for MXN carry longs. USMCA negotiation risks and a dovish Banxico in a hawkish Fed scenario are the main risks to this view, but our base case is for no Fed hikes and for USMCA negotiations to be less contentious for Mexico than for Canada. **INR**'s carry-to-vol has also been rising supported by the RBI's measures to mitigate FX depreciation pressures, though this

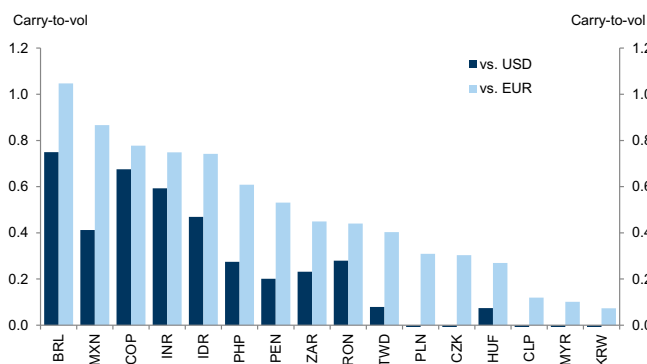
also means the scope for spot appreciation is more limited, in our view. Moreover, INR remains vulnerable to a more disruptive energy price scenario, although we think pairing INR longs with THB shorts (where we maintain a bearish view) can help neutralise this exposure to a large extent. **ZAR** carry-to-vol is significantly lower than for its peers. On one hand, higher volatility means that the Rand can outperform in an energy relief scenario, but equally that it is not the most attractive carry long in a more uncertain backdrop, especially if central bank support is also less certain than before. **HUF** carry and carry-to-vol has declined substantially since the election as rates have moved lower. We expect this yield convergence to the Euro area to continue, which means HUF longs are increasingly more of a spot than a carry trade. We maintain a constructive HUF outlook over the medium term, and forecast spot appreciation to 350 in EUR/HUF in 6 months. However, with limited central bank support and energy supply, and price risks, we think near-term dynamics look more challenging. Pairing HUF longs with PLN shorts can be an effective way to neutralise HUF's energy exposure while playing for a convergence in FX valuations from both sides. Turning to potential funders, we note that carry for many low-yielders is at its least negative levels in a year (Exhibit 7), including TWD and KRW, but it is at its lowest levels for PLN and ILS, and THB remains one of the lowest carry EM currencies. Overall, our preferred funders in G10 are CHF, EUR, JPY and CAD in roughly that order, and in EM, as mentioned above, we think **THB** and **PLN** screen as attractive funders from both a carry and spot asymmetry perspective. Additionally, the Shekel's high beta to tech stocks and Bol pushback against a strong currency make **ILS** an attractive funder in our view. And, while we do not have an outright bearish view on **CLP**, its low carry and high beta to risk and energy prices makes it an attractive funder for investors looking to neutralise broader risk exposures. The Peso's underperformance relative to terms of trade through mid-July would argue against CLP shorts tactically, but with the more recent retracement over the last week, USD/CLP looks more closely aligned with fundamentals than a week ago.

Exhibit 7: BRL and COP remain the carry leaders by a wide margin, followed by many currencies with close to 3% carry (INR, IDR, MXN, ZAR)



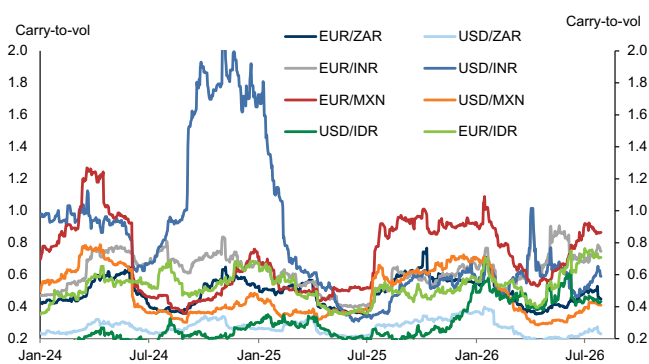
Source: Goldman Sachs FICC and Equities, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 8: BRL and COP also remain among the highest-ranked currencies in carry-to-vol terms



Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

Exhibit 9: MXN carry-to-vol has been on the rise, especially versus the Euro whereas ZAR carry-to-vol is relatively low



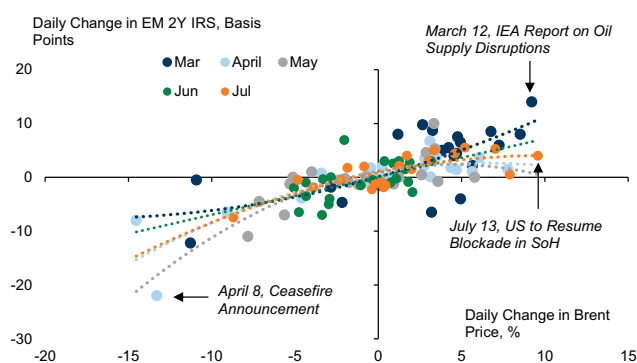
Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

EM Local Rates: Fed up with Energy

- **EM Local Rates: Still captive to the barrel, but less so than before.** Uncertainty around a sustainable resolution to the Iran war and the energy price volatility this generates remains the primary driver of EM and G10 rates ([Exhibit 10](#)). But compared to the start of the war, when the sharp moves in rates that followed energy price spikes were somewhat amplified by investor positioning, with consensus receiver trades in anticipation of rate cuts (HUF, BRL and ZAR, and GBP in G10) hit the hardest, positioning has become cleaner. That, combined with an inflation backdrop that has proven to be more benign than initially feared, as well as central bank reaction functions that have turned out to be more dovish relative to

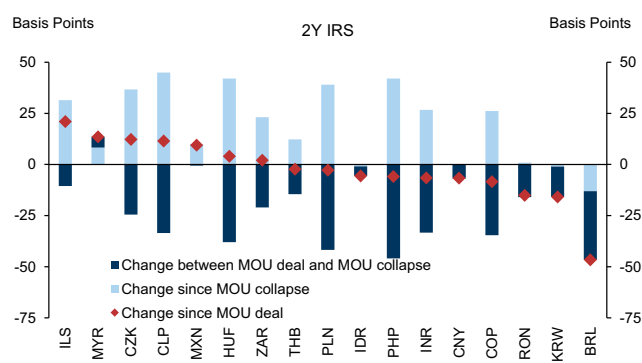
market pricing at the start of the war, particularly in CEEMEA, has helped trim the more adverse tails in local rates pricing despite the recent bouts of energy price increases. By the same token, however, we continue to think that any relief in local rates from the downside inflation surprises is likely to be more limited until there is more visibility on the supply shocks from oil, a possible El Niño effect and natural gas prices heading into the winter. While our bias through this period has been to fade the excessive selloffs, we think more tactical discipline is warranted against a backdrop of still elevated commodity prices and the prospects for core central bank hikes. For now, prospects appear more compelling in markets where rates have backed up and central banks have a dovish tilt, such as PLN, HUF and ILS ([Exhibit 11](#)). On the other side of the EM local rates distribution, while MXN front-ends have also backed up and local inflation dynamics remain benign, we remain cautious here on account of low-interest rate differentials to the US and the possibility of Fed hikes (see below).

Exhibit 10: EM local rates are still beholden to moves in energy prices, though oil sensitivities have declined since the onset of the Iran war



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 11: The back-up in rates creates HUF, PLN and ILS front-end opportunities amid dovish tilt from respective central banks, while we remain cautious on MXN front-ends despite the repricing

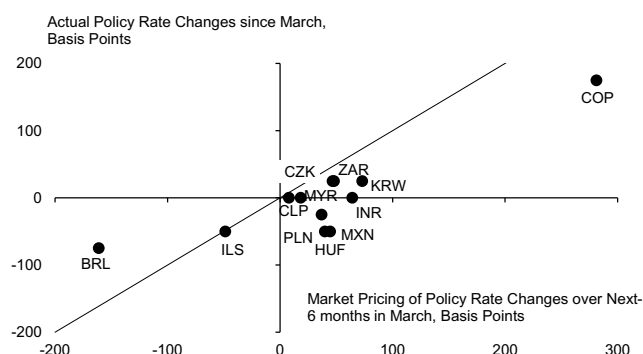


Source: Bloomberg, Goldman Sachs Global Investment Research

- **EM central banks have leaned against the pre-emptive hikes priced at the start of the Iran war, with some delivering rate cuts instead.** At the onset of the Iran war, we [argued](#) that the knee-jerk reaction and repricing in front-end rates would likely prove to be too hawkish to sustain because the initial conditions differed quite substantially from the energy shock in 2022. Almost 6 months into the war, EM central banks have leaned against the hikes that were priced, with some, including Hungary, Brazil and Mexico, even moving to cut rates over this period ([Exhibit 12](#)). More recently, the dovish surprise from the [SARB](#) to hold rates at a meeting that was fully priced for a hike, the [BI](#)'s decision to hold, also against expectations for hike, and the [NBP](#)'s surprise signal for a September cut suggest that many EM central banks are willing to wait for more clarity even if this comes with near-term FX weakness. That may be a reasonable course for the EM high-yielders that came into the energy shock with real policy rates at restrictive levels, but the same cannot be said for the EM low-yielders in Asia, such as Korea and Philippines, where real policy rates are low, prompting policy makers in both markets to embark on a hiking cycle ([Exhibit 14](#)). We think this differentiation in central bank responses along the axes of

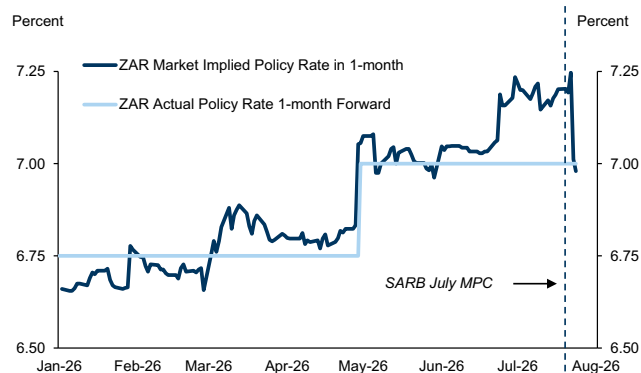
real rate buffers is likely to be sustained and rates markets such as HUF – where the MNB could shift to a lower inflation target by the end of this year – could outperform ([Exhibit 15](#)). The easing bias in Brazil also remains intact, with the front-end screening attractive in our view, but realised rates vol is likely to be high heading into the October elections, and we prefer to stay on the sidelines here. In PLN, market pricing has shifted back to ca. 30bp of rate hikes over the next 12 months despite the central bank signalling a September cut. We think these hikes are unlikely to be delivered given inflation dynamics that remain supportive, and we favour receiving the front-end there.

Exhibit 12: EM central banks have moved by less than the market expected at the start of the energy shock ...



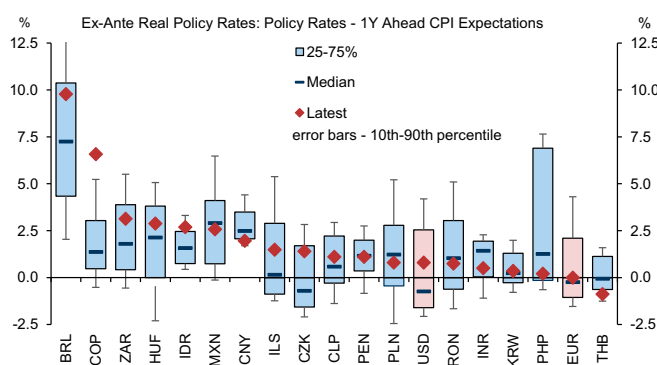
Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

Exhibit 13: ... with the SARB dovishly surprising the market at its July MPC



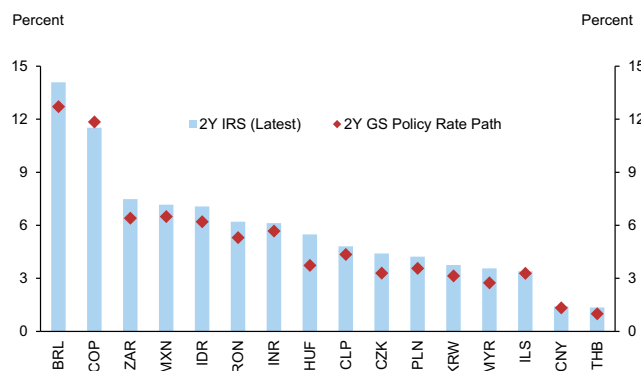
Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

Exhibit 14: Real policy rates remain restrictive in EM high-yielders, but accommodative in EM low-yielders such as Korea and Philippines



Source: Haver Analytics, Consensus Economics, Goldman Sachs Global Investment Research

Exhibit 15: Our rates views remain more dovish than market pricing, particularly in HUF, ZAR and BRL, but fairly priced in INR and CNY

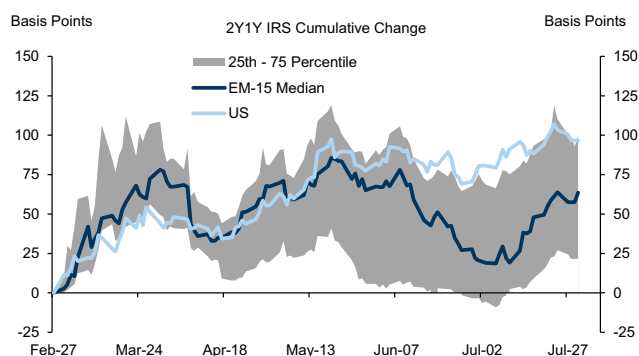


Source: Bloomberg, Goldman Sachs Global Investment Research

- **A “double whammy” from core rates: The Fed takes the front ...** The FOMC held the funds rate unchanged yesterday (July 29) in a meeting that was priced for a surprise, but the three dissents to raise rates will likely keep market expectations for hikes in the coming months very much alive. This is a material upside risk for EM local rates across multiple dimensions. First, while US terminal rates pricing has continued to drift higher, the same cannot be said for EM local rates, and there is a risk that EM rates will catch up if the Fed hike pricing is sustained ([Exhibit 16](#)). Second, interest

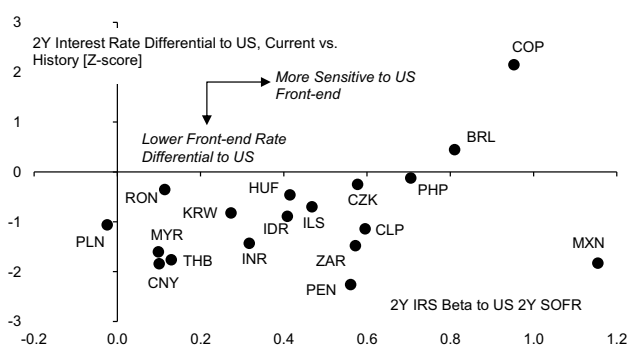
rate differentials to US remain low relative to historical levels across EM, except for BRL and COP rates, and this leaves MXN rates – where interest rate differentials to the US are notably lower than most EMs – susceptible to a sustained hawkish US front-end pricing, especially given its high sensitivity to this ([Exhibit 17](#)). Third, while EM currencies have been generally well-behaved during the energy shock, a hawkish Fed accompanied by a stronger Dollar could keep EM central banks on the front foot to tighten policy and get ahead of the curve. On that note, we think that, in the event that oil prices remain elevated and the hawkish pricing in the US front-end is sustained coming into the September FOMC, hike risks remain material for EMs, such as the SARB, that are holding MPC meetings around the same time.

Exhibit 16: US terminal rate pricing has continued to drift higher since the energy shock, while EMs are off the peaks



Source: Bloomberg, Goldman Sachs Global Investment Research

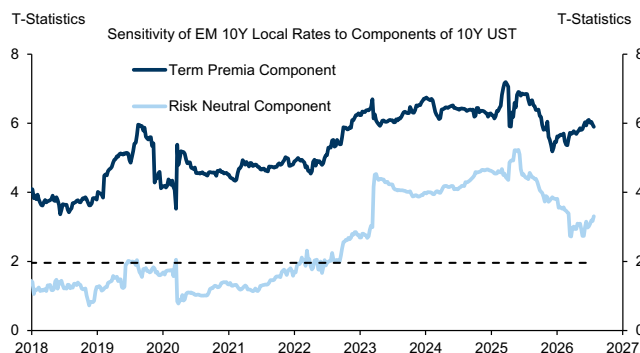
Exhibit 17: Relatively low interest rate differentials and high sensitivity to US front-end leaves MXN rates vulnerable to Fed hikes



Source: Bloomberg, Goldman Sachs Global Investment Research

- **.... with more persistent risks at the back-end.** Even in the event the Fed does not hike as in our economists' baseline and the energy shock dissipates, factors such as capital needs from the AI buildout, as well as fiscal expenditures on defence and infrastructure, could add term premia and keep long-ends in the US elevated, with a mild version of that scenario playing out after yesterday's FOMC meeting ([Exhibit 18](#)). And, combined with the tight levels of EM local rates spreads to UST, we think there is limited scope for EM long-ends to further compress from here on a broad basis. But this is outside of select high-yielders such as INR and ZAR, which have improving fiscal trajectories, or COP – where local rate spreads remain high – which may join them ([Exhibit 19](#)).

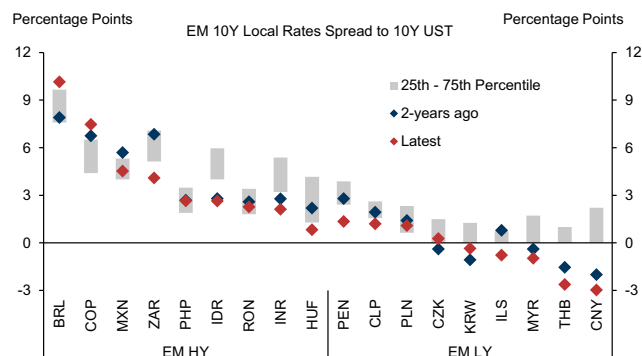
Exhibit 18: EM long-end rates are more sensitive to term premia driven shifts in USTs than to shifts in short-rate expectations



The sensitivities are estimated through a weekly, 3-year rolling window OLS regression of 10Y UST term premia and risk neutral rate on 10Y zero coupon rates of 16 EMs. The chart shows the median t-statistics.

Source: Goldman Sachs Global Investment Research

Exhibit 19: Tight local rate spreads put a floor under further broad-based compression of EM long-ends, but COP spreads remain high, with scope to grind lower on potential fiscal improvements

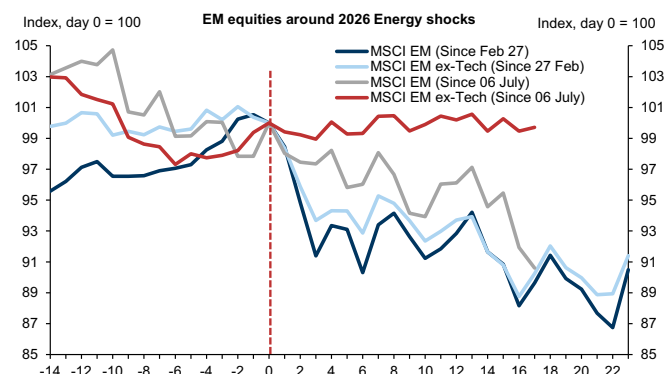


Source: Bloomberg, Goldman Sachs Global Investment Research

EM Equities: Non-Tech Resilient; Still Expect Broadening

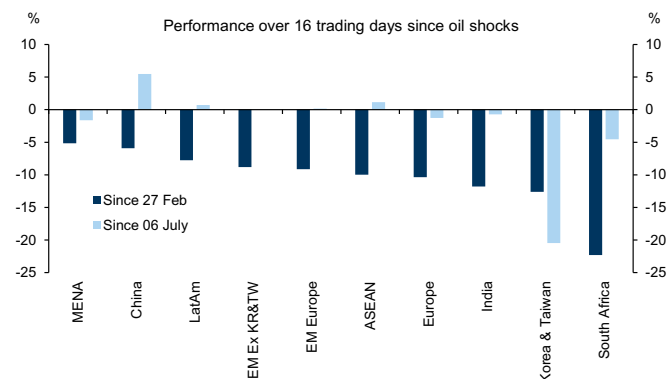
- **EM Equities: Tech unwind extends, but muted EM equity response to the recent energy shock.** EM equities have remained under pressure over the past month amid ongoing positioning de-grossing in the tech sector and renewed escalation in the US-Iran conflict that led to a decline in oil flows and pushed oil prices higher. Consequently, the MSCI EM index has corrected 12% from its June 22 peak, reversing about half of its strong 1H gains. This market correction has been significantly driven by momentum unwind in crowded tech/AI infrastructure stocks, while, outside of the tech sector, equity moves have been contained in both absolute terms and relative to the initial response to the energy shock earlier this year. Since the re-escalation and oil move higher from July 6, the MSCI EM ex-tech index has fallen only 1%, compared with an 8% drop during a similar trading period since the start of initial conflict in late February, and has traded 2% higher month-to-date in July. Looking beneath the headline EM index, the pattern is similar across regions, with most markets except for the AI/tech-heavy North Asia (Korea and Taiwan) seeing muted moves in response to the current oil shock.

Exhibit 20: EM equity moves, notably outside of the tech sector, have been relatively contained to the recent energy shock, relative to the initial response earlier in the year



Source: FactSet, Goldman Sachs Global Investment Research

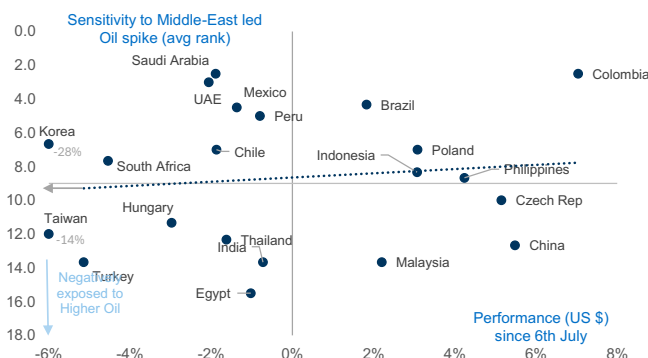
Exhibit 21: Current moves have been more muted across the various EM sub-regions, except for tech/AI-heavy markets of Korea and Taiwan



Source: FactSet, Goldman Sachs Global Investment Research

- **Lower starting levels and positive earnings momentum have cushioned the downside.** While the absolute equity market moves have been muted so far, the relative moves have correlated well with the terms of trade (ToT) impact and oil-sensitivities of the equity markets. Oil importers such as Colombia, Brazil and Saudi Arabia, as well as the energy sector, have outperformed, while South Africa and oil importers in Europe (Egypt, Türkiye) and Asia (India, Thailand) have lagged. Nevertheless, we see a few reasons for the muted overall market reaction. First, many oil-sensitive markets (e.g., ASEAN, India, South Africa) are still trading meaningfully below pre-war levels. In other words, we have not seen a full retracement of the initial moves, even though oil flows had significantly normalized since the ceasefire announcement, and consequently starting valuations and price levels have been lower in the recent oil shock. Second, rate-sensitive EM equity pockets in South Africa and Brazil have stayed resilient as the improvement in inflation prints has kept central banks on hold (in the case of SARB) and allowed limited rate repricing despite the oil shock. Third, micro fundamentals in terms of earnings momentum has been positive so far, which is cushioning the adverse impact of the oil price shock on market sentiment. Early 2Q results are tracking ahead of estimates, with beats outpacing misses and a positive median earnings surprise. Consequently, earnings sentiment and revisions have continued to improve, and markets that have seen the most positive revisions have held up better during the recent re-escalation in the conflict.

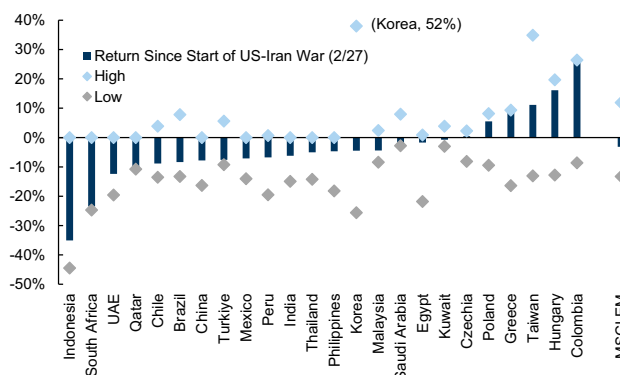
Exhibit 22: While absolute moves have been modest, the relative market response has correlated well with the oil-sensitivities of equity markets ...



Sensitivity: Average market rank of Oil sensitivity to GDP, Goods exports to Middle East (%GDP), and Equity returns sensitivity to oil prices

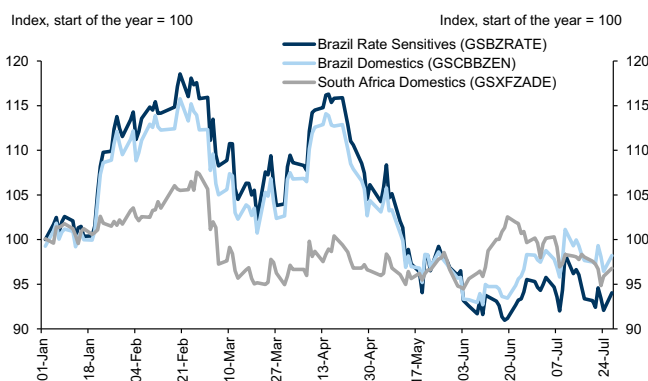
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 23: ... although many EM oil-sensitive markets (e.g. ASEAN, India, South Africa) are still trading meaningfully below pre-war levels, suggesting a lower valuation starting point in the recent oil shock



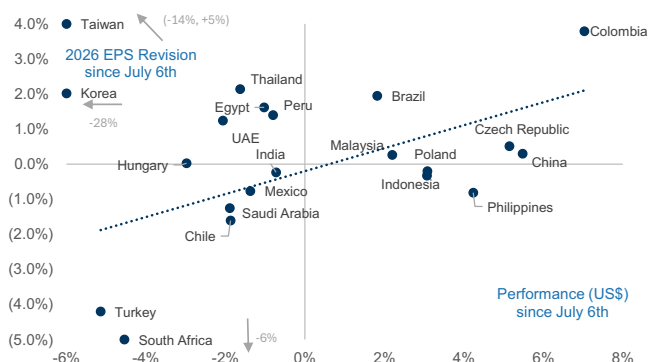
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 24: Domestic cyclicals and rate-sensitive pockets in Brazil and South Africa have remained resilient in the recent energy shock given limited fresh rate-repricing



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 25: Earnings momentum in the ongoing Q2 results season has supported equities and buffered the headwinds from the oil shock

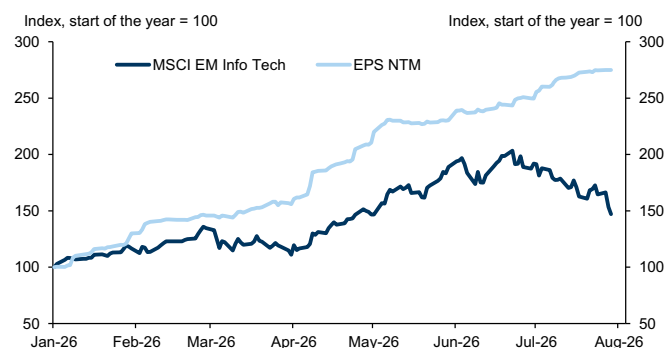


Source: FactSet, Goldman Sachs Global Investment Research

- **Still expect broadening beyond Tech.** The positioning unwind in momentum trades and AI capex winners globally has extended further in recent weeks. The GS High beta momentum pair in the US (GSPRHIMO, developed by GS Global Banking & Markets) has corrected 40% in past 5 weeks, erasing all its year-to-date gains, while the EM Momentum factor (M1EFMMT) is down more than 25% from the late-June peak. Similarly, the US semiconductor stock index (SOX) is down 25% from June 22 peak, while in EM, Korea's KOSPI index has fallen nearly 40% over the same period, following a rally of more than 100% rally in 1H. We think the ongoing positioning de-grossing in tech/AI has accelerated in recent weeks amid investor fears around intensifying competition from China (e.g. the launch of open-source frontier LLM models, Chinese DRAM maker CXMT's listing, progress in domestically developed Chipmaking equipment) and a relatively high bar for memory stocks to beat earnings expectations in the ongoing 2Q reporting season, which has led to a post-earnings sell-off in stocks despite reporting strong profit growth. Despite the sell-off, we

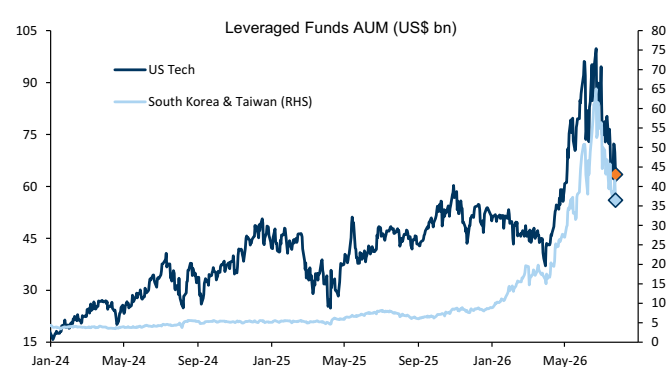
remain positive on tech/memory earnings fundamentals given still tight supply/demand and our tech analysts' expectations of a stronger-for-longer current AI investment cycle. However, we think tech volatility could stay elevated in the near term amid investor concerns around AI capex sustainability and leveraged positioning, although meaningfully reset from highs, still not fully cleared. The higher tech volatility, combined with positive earnings momentum in non-tech EM should continue to allow more broadening in EM in line with our 2H views, and gains in the equal-weighted EM index, as long as macro volatility related to oil and rates is contained. Previous US TMT drawdowns since the early 2000s show that non-tech EM regions like LatAm, South Africa, ASEAN have outperformed North Asia and broader EM index, emphasizing the benefits of regional diversification in EM and reinforcing our preference for more balanced allocations in EM.

Exhibit 26: Underlying earnings in the EM tech sector have remained strong, while positioning unwind has extended



Source: FactSet, Goldman Sachs Global Investment Research

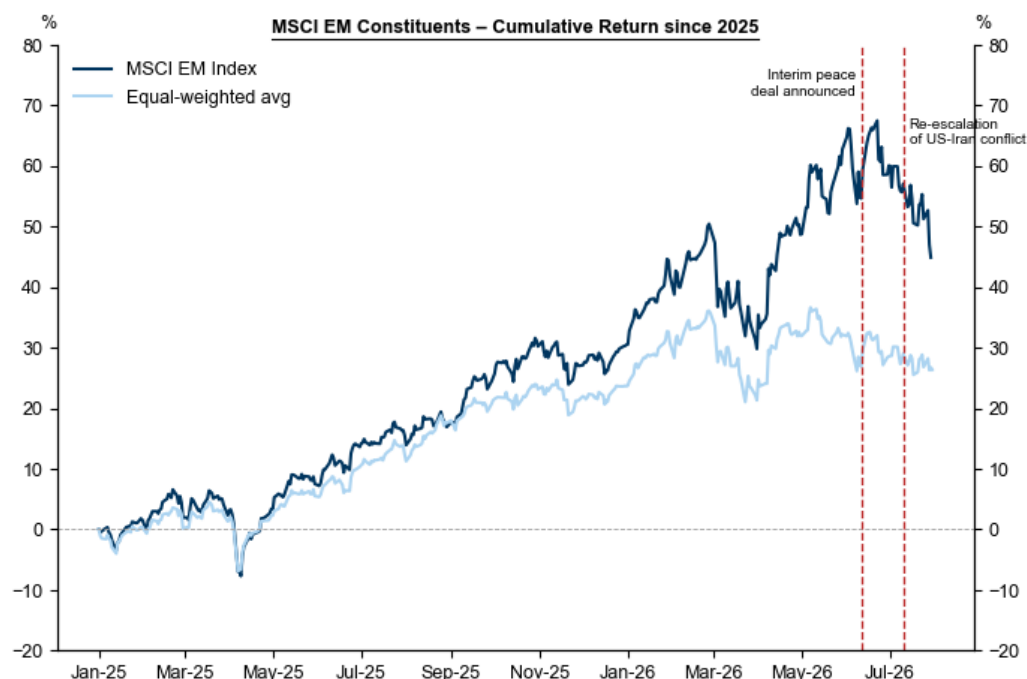
Exhibit 27: Leveraged ETF positions in US / Asia have declined meaningfully from highs, but not fully cleared



Universe excluding US ex-Tech and inversed exposed ETFs.

Source: EPFR, Goldman Sachs Global Investment Research

Exhibit 28: The equal-weighted EM index has remained resilient in the recent energy shock; We continue to expect more broadening in EM equities outside of tech



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 29: Previous US TMT drawdowns since early 2000s show that non-tech EM regions like LatAm, South Africa, ASEAN have outperformed North Asia and broader EM index, emphasizing the benefits of regional diversification

EM Market Performance in US TMT Drawdowns since 2000												
Peak	Trough		US TMT Perf	Latam	MENA	S.Africa	ASEAN	India	CEE	China	North Asia	EM
Mar-00	Sep-02	(80.4%)	-79%	-51%	-71%	-27%	-37%	-53%	-39%	-48%	-47%	-47%
Dec-21	Sep-22	(31.9%)	-33%	-4%	-1%	-21%	-12%	-10%	-48%	-33%	-39%	-29%
Dec-24	Mar-25	(12.8%)	-11%	11%	2%	13%	-10%	-3%	28%	15%	-8%	2%
Oct-25	Mar-26	(13.5%)	-11%	20%	-5%	8%	-1%	-18%	10%	-13%	13%	0%
May-26	Jul-26	(10.8%)	-11%	-1%	-2%	-9%	0%	2%	0%	0%	-22%	-11%
Median (ex- Current)				4%	-3%	-6%	-11%	-14%	-15%	-23%	-23%	-15%

Source: FactSet, Goldman Sachs Global Investment Research

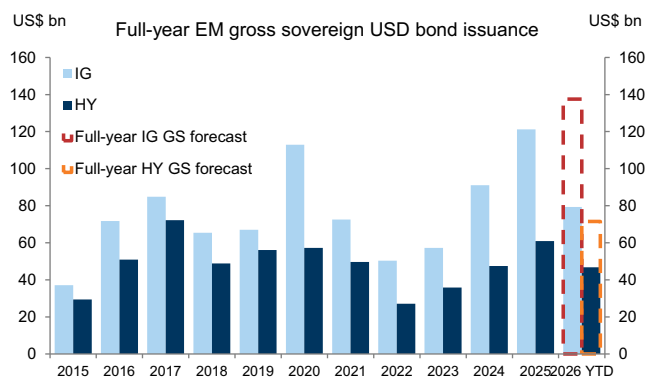
EM Sovereign Credit Issuance: Robust in H1, With More to Come in H2

- **EM gross sovereign issuance standing tall amid the H1 vol ...** Despite concerns that large amounts of AI-related debt supply may be crowding out other sectors or countries, EM gross sovereign USD bond issuance has been robust so far this year, propelled by the forward spend on security and energy infrastructure by IG GCC sovereigns since the onset of the Iran war. About US\$126bn of gross supply has reached EM markets, with about 63% coming from IG sovereigns (~US\$79bn), but also a significant amount (~US\$47bn) from HY (Exhibit 30). Importantly, both IG and HY H1 issuance are at their second-highest levels in a decade (Exhibit 31). This puts total EM gross USD bond issuance on track towards our updated full-year forecast at ~US\$209bn (more below), up from ~US\$190bn at the beginning of the year, with another ~US\$58bn to come in IG and ~US\$25bn in HY, which would make IG

issuance its highest in a decade, and HY issuance in line with its decade-high of 2017 ([Exhibit 30](#)).

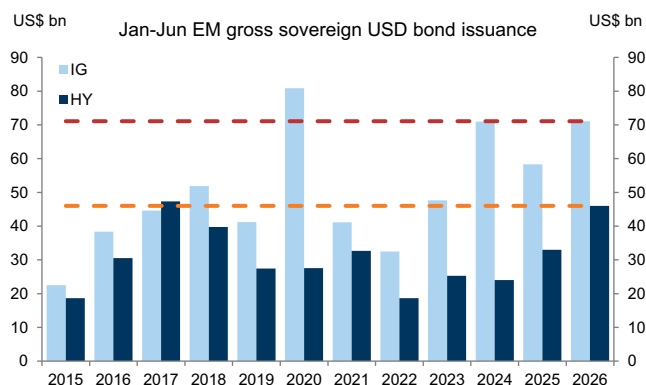
- Zooming in on monthly data, we find that IG issuance was somewhat less seasonal than usual in H1. We had taken stock of the record amount of IG issuance at the start of the year ([Exhibit 32](#)). IG issuance was brought to halt in March, as the onset of the Iran war at the end of February coincided with a risk-off shock, before surging in April to almost ten times its historical April median, and stabilising in subsequent months ([Exhibit 32](#)). In contrast, HY supply realised closer to its historical monthly medians than IG supply in H1, thanks to oil exporters issuing in the initial phase of the war, and oil importers coming to the market as geopolitical volatility subsequently subsided. Put together, while IG supply was more volatile, both segments of the EM sovereign credit market contributed to the relative resilience of total supply in the first half, with IG supply exceeding its historical monthly median in four of the first six months of the year, and HY supply exceeding its median in five out of six months. July IG issuance is also tracking above its historical median ([Exhibit 32](#)).

Exhibit 30: Halfway through 2026, issuance in EM IG and HY is on track for a historically strong year



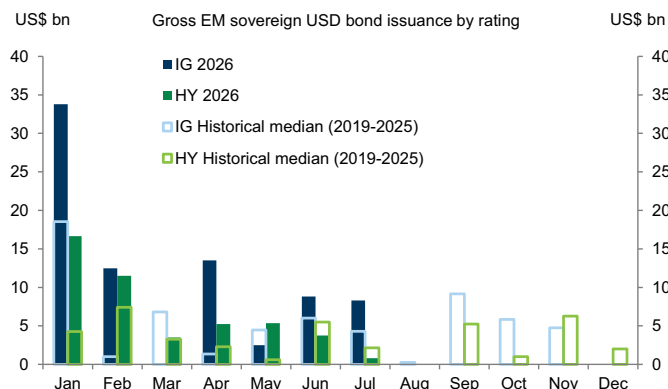
Source: Bloomberg, BondRadar, Dealogic, Goldman Sachs Global Investment Research

Exhibit 31: Issuance in both IG and HY in 2026 H1 at the second-highest level in a decade



Source: Bloomberg, BondRadar, Dealogic, Goldman Sachs Global Investment Research

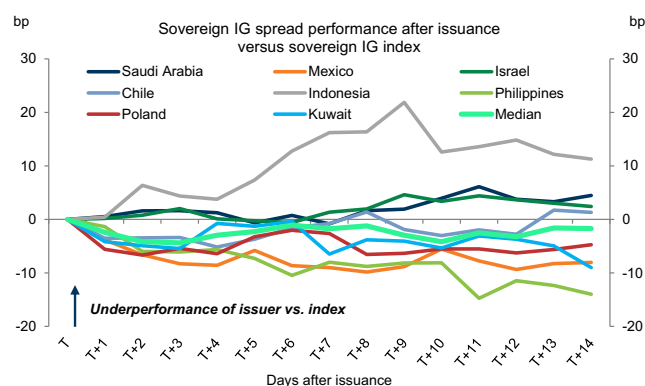
Exhibit 32: Gross EM IG sovereign issuance has been more volatile than in HY in H1, but supply has been historically elevated in both IG and HY



Source: Bloomberg, BondRadar, Dealogic, Goldman Sachs Global Investment Research

- **... With elevated investor demand supporting H1 issuance ...** Our core view is still that the drivers of such robust issuance include the prevalence of favourable issuance terms, with sovereigns taking advantage of tight spreads: spreads quickly retraced their March weakness after the onset of the Iran war and returned to historically tight levels, that is, historically attractive levels from an issuer's point of view. But beyond spreads, investor demand for primary supply explains how the market has been able to absorb the large amount of supply so far this year without a noticeable impact on spreads, with median new issuance outperforming the index in IG two weeks after issuance (Exhibit 33), and performance in line with the index in HY (Exhibit 34). The relative outperformance of median IG new issuance versus median HY suggests higher demand for IG paper, and is consistent with the lower issuance premia generally required for higher rated bonds, as shown by the distribution of the country-specific lines in Exhibit 33 and Exhibit 34.

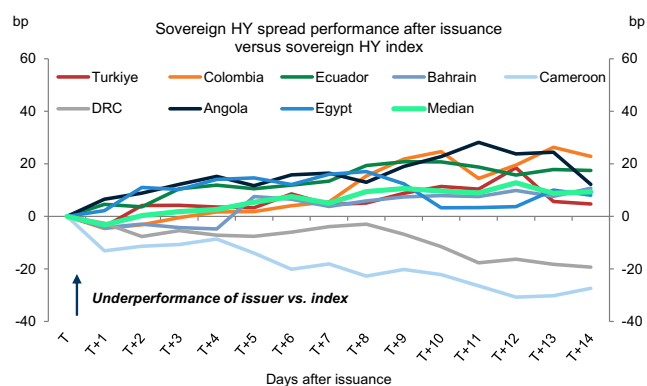
Exhibit 33: Median IG issuance has slightly outperformed the IG index over the two weeks post issuance ...



Selection of IG sovereigns that have issued so far in 2026.

Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 34: ... Whereas HY new supply has broadly performed in line with the index



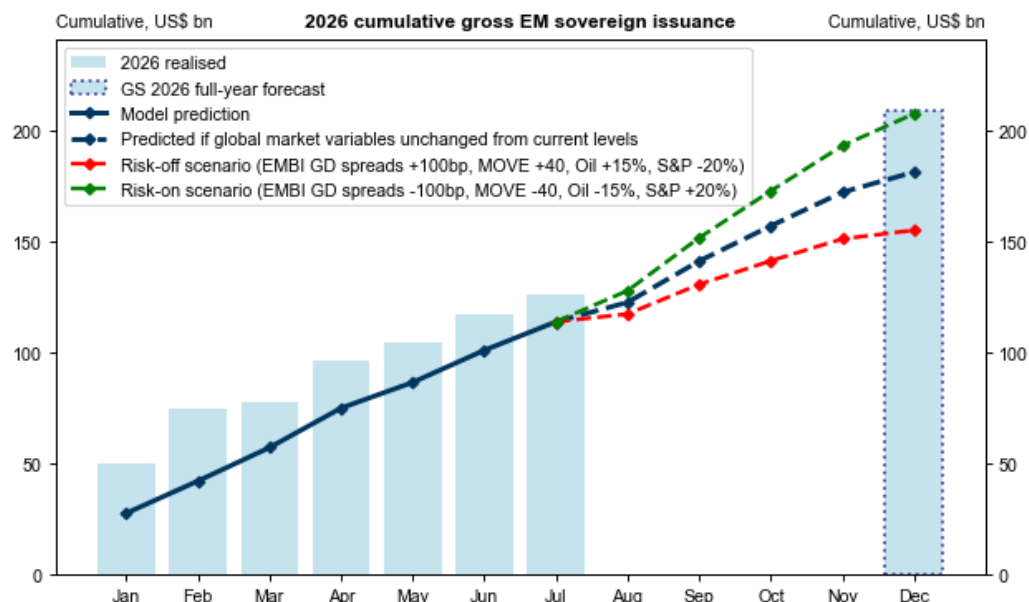
Selection of HY sovereigns that have issued so far in 2026.

Source: Bloomberg, Goldman Sachs Global Investment Research

- **... As well as strong H2 forecasts.** Alongside the solid spread performance post-issuance, strong investor demand is visible when benchmarking the realised

cumulative supply so far this year against global market fundamentals. To do so, we regress total EM monthly issuance levels on a set of four global market variables and monthly dummy variables to control for the seasonality of supply. The set of global market variables is obtained by taking the set of four variables that maximises the R-squared of the regression when choosing combinations of four variables from a larger set. We find that the variables that best explain the variation in issuance levels are EMBI Global Diversified spreads, the MOVE index of US rate volatility, Brent prices and the S&P 500 index. We then back out predicted cumulative levels, and compare them to the realised supply, with the results shown in [Exhibit 35](#). For each of the first six months of the year, cumulative EM issuance has realised higher than model predictions, pointing to a positive contribution from technical and non-global or non-seasonal factors, which include solid investor demand. As mentioned above, our updated full-year 2026 issuance forecast stands at ~US\$209bn, with the lion's share from IG (~US\$138bn, 66%), and HY contributing ~US\$72bn (34%). While our forecasts appear consistent with a bullish risk-on scenario (EM spreads 100bp tighter, MOVE index down 40 points, Brent prices down 15% and US equity prices up 20%, green dotted line in [Exhibit 35](#)) that is not our baseline, we think they reflect a strong technical backdrop and a large idiosyncratic issuance profile from IG GCC sovereigns (more below). In particular, our forecast is notably higher than out-of-sample model predictions based on the current values of market variables. Risks to our forecasts are skewed to the downside given our view of moderate spread widening and the possibility of higher-for-longer oil prices and renewed rate volatility, which according to our model would bring total 2026 EM issuance closer to US\$150bn (red dotted line in [Exhibit 35](#)).

Exhibit 35: For each of the first six months of the year, cumulative EM issuance has realised higher than model predictions, and our full-year forecast is consistent with a risk-on scenario relative to the current state of the world



Cumulative predictions built from predicted levels obtained from a monthly OLS regression of issuance levels on an optimised set of variables that maximises the R-squared by searching across combinations of four variables from a set of global market variables (here, this optimised set is made of EMBI Global Diversified spreads, the MOVE index, Brent prices and the S&P 500 index). The regression also controls for seasonality with monthly dummy variables. The sample period is January 2010 to December 2025 to allow for out-of-sample predictions for 2026 issuance data.

Source: Bloomberg, Goldman Sachs Global Investment Research

- **H2 issuance largely driven by IG GCC sovereigns, with higher net supply a slight headwind for spreads.** Looking at the country level, we find that a large share of the issuance we forecast for H2 should come from IG GCC sovereigns, in particular Kuwait, Saudi Arabia and Qatar ([Exhibit 36](#)). Idiosyncratic reasons explain this, with Kuwait able to issue more this year thanks to the [passage of its debt law](#) last year and Saudi Arabia financing a [large capex cycle](#). But we think gross supply will also be driven by a common factor — the need to rebuild infrastructure following the Iran war, with a potential for spending beyond reconstruction to be better protected against future conflicts and to [bypass congested maritime choke points](#). Given the gap between realised supply so far this year versus our full-year forecasts from our [2026 outlook](#) (we forecast full-year Kuwait issuance at US\$15bn versus US\$8bn issued so far this year; Saudi Arabia at US\$25bn versus US\$11.5bn so far; and Qatar at US\$7bn versus US\$3bn so far), we have left these forecasts unchanged but think risks are skewed to the upside the longer the regional conflict lasts. While a range of other IG and HY sovereigns should support higher EM net supply in H2, the largest contributions will likely come from these GCC sovereigns ([Exhibit 36](#)). Looking at aggregate EM net supply, we find that the strength of gross issuance in H1 ([Exhibit 31](#)) has been well-reflected in steadily rising net supply on a rolling 12-month window, and our H2 gross forecasts and limited principal payments across the board imply a steady rise over the second half of 2026 to multi-year highs close to US\$150bn ([Exhibit 37](#)). As in [DM credit](#), this should contribute to the [spread widening](#) we expect over the next 12 months, but this technical headwind will in our

view be offset by the still benign global macro outlook we forecast for the second half of the year, which is why we think this widening will be moderate.

Exhibit 36: We expect a large share of H2 gross and net issuance to come from IG GCC sovereigns ...

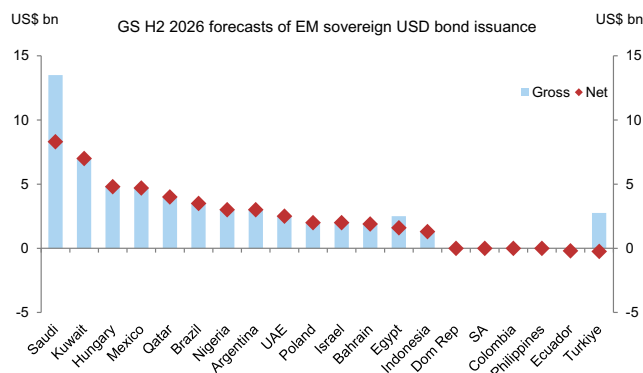
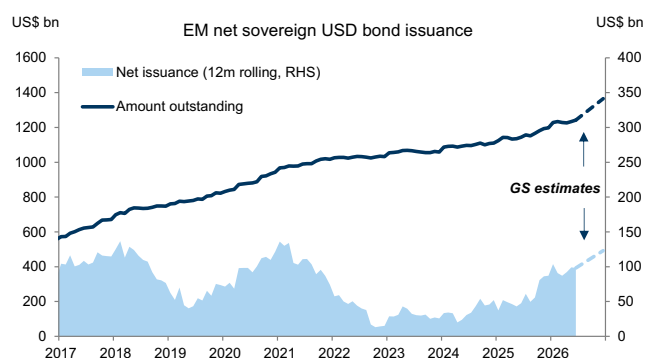


Exhibit shows our gross EM sovereign USD bond issuance forecasts for the rest of 2026 (light blue bars) and compares them to USD bond principal and interest payments due over the rest of 2026 to generate net issuance forecasts (red diamonds).

Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 37: ... Contributing to a steady rise in EM net supply in H2



Source: Bloomberg, Goldman Sachs Global Investment Research

The authors would like to thank Shuyi Fang and Agrima Tewari for their contribution to this report. Shuyi and Agrima are interns in the Markets team.

Macro forecasts and outlook

Market values in the exhibits that follow are as of 29 July, unless otherwise stated.

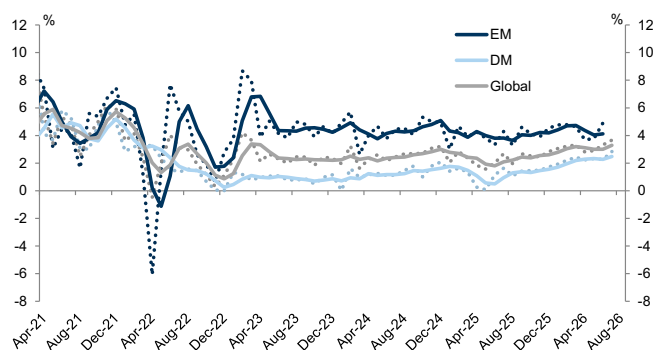
Goldman Sachs macro forecasts for major EMs vs. consensus

	GDP growth					Inflation					Policy rate				
	2025	2026		2027		2025	2026		2027		Current	2026		2027	
	Actual*	GS	Cons	GS	Cons	Actual*	GS	Cons	GS	Cons		GS	Cons	GS	Cons
Brazil	2.3	2.2	2.0	1.4	1.8	4.3	5.2	4.7	4.3	4.1	14.2	14.0	13.8	12.0	12.0
Chile	2.5	1.4	1.6	2.7	2.7	3.4	3.9	3.6	2.9	3.2	4.5	4.5	4.6	4.2	4.4
China	5.0	4.6	4.6	4.7	4.4	0.1	1.0	1.2	1.0	1.2	1.4	1.4	1.6	1.3	1.4
Colombia	2.6	2.7	2.5	2.5	2.4	5.1	6.6	6.0	4.8	5.4	12.0	12.5	12.3	11.5	10.8
Czech Republic	2.7	2.2	2.1	2.5	2.4	2.4	2.0	2.4	2.0	2.5	3.8	3.8	3.6	3.0	3.5
Hungary	0.4	2.4	1.8	2.9	2.5	4.4	1.7	2.9	1.7	3.5	5.8	4.5	5.9	3.0	5.0
India	6.5	7.5	7.5	6.6	6.6	4.7	2.2	2.0	4.9	5.0	6.3	5.3	5.5	5.8	5.6
Indonesia	5.1	4.9	5.0	4.6	5.0	1.9	3.3	3.3	2.6	2.8	5.8	6.2	5.9	6.2	5.5
Israel	3.2	2.0	3.2	4.8	4.5	3.0	1.7	2.0	1.9	1.9	3.5	3.2	3.6	3.2	3.2
Malaysia	5.2	5.2	4.6	4.7	4.5	1.4	2.0	2.0	2.4	2.0	2.8	2.8	2.8	2.8	2.9
Mexico	0.5	1.2	1.1	1.7	1.8	3.7	4.2	4.0	3.7	3.8	6.5	6.5	6.5	6.5	6.6
Peru	3.4	3.2	3.0	2.5	3.0	1.5	3.9	3.5	2.4	2.6	4.2	4.2	4.3	4.2	4.5
Philippines	4.4	3.5	3.8	5.8	5.2	1.6	5.1	5.9	3.3	3.9	4.8	5.5	5.2	5.5	4.9
Poland	3.6	3.6	3.5	3.6	3.0	3.8	2.8	3.0	2.3	2.8	3.8	3.8	3.7	3.5	3.5
Romania	0.7	-0.5	0.1	2.6	2.3	7.3	8.1	8.1	3.3	4.2	6.5	6.5	6.3	4.5	5.2
Russia	1.0	0.9	0.8	1.8	1.3	8.7	5.9	5.9	4.8	4.7	14.0	13.5	13.4	9.8	10.6
South Africa	1.1	1.6	1.3	1.7	1.5	3.2	4.1	4.2	3.1	3.7	7.0	7.0	7.2	6.0	6.5
South Korea	1.1	3.2	2.9	2.5	2.2	2.1	2.7	2.7	2.2	2.2	2.8	3.0	3.0	3.2	3.2
Thailand	2.4	1.3	1.9	1.2	2.1	-0.1	2.0	2.5	1.7	1.5	1.0	1.0	1.2	1.0	1.2
Turkey	3.6	2.7	3.0	3.6	3.7	34.8	30.6	30.9	25.4	22.4	37.0	37.0	35.1	29.0	27.7

Light blue cells indicate GS forecast above Bloomberg (median) consensus, grey cells indicate GS forecast below Bloomberg (median) consensus. For GDP and inflation, annual average data are used for GS forecasts and consensus. For India, GDP and inflation data are referred to fiscal year (2025 is India FY2025). For policy rates, end of year data are used for GS forecasts and consensus. * We take GS forecast if actual not available.

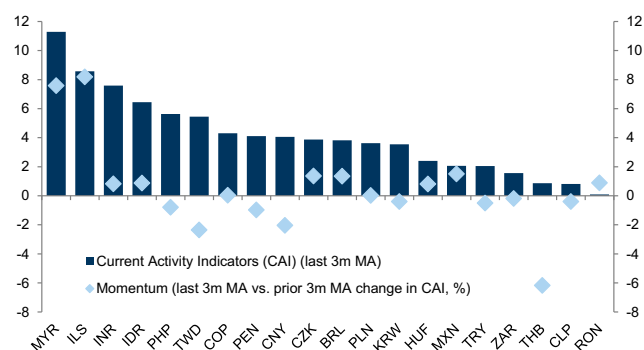
Source: Bloomberg, Goldman Sachs Global Investment Research

GS Current Activity Indicators (CAI)



Source: Goldman Sachs Global Investment Research

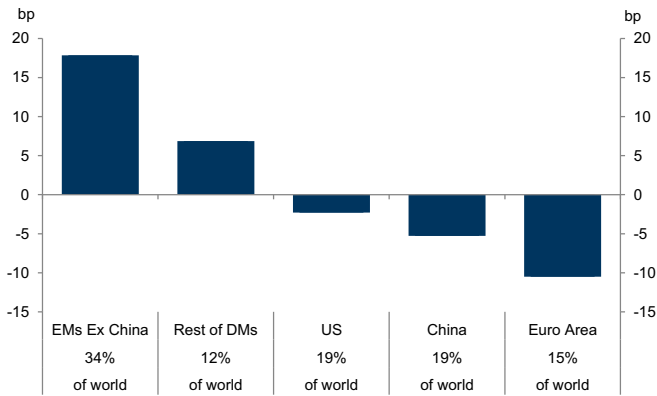
GS Current Activity Indicators (CAI) - latest level and momentum



Momentum calculated between Mar-26 and Jun-30.

Source: Goldman Sachs Global Investment Research

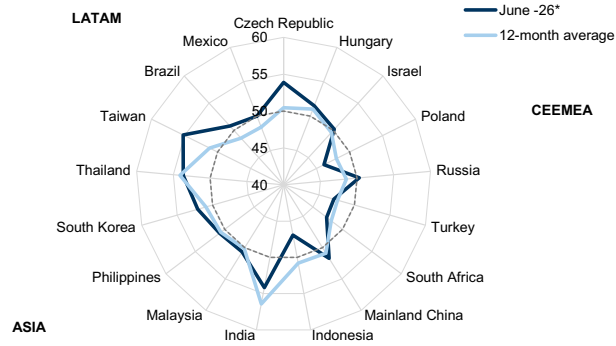
Regional contributions to change in global CAI (Mar-26 and Jun-30)



Regional contributions are weighted by the respective PPP GDP world share.

Source: Goldman Sachs Global Investment Research

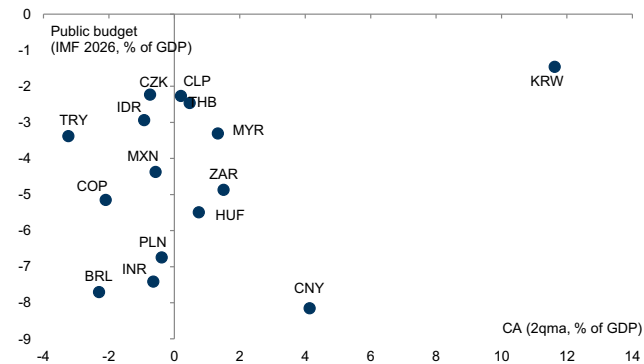
Manufacturing PMI



*For Mexico IMEF Business Climate Index and for Israel global PMI are shown. Mar-25 for ILS.

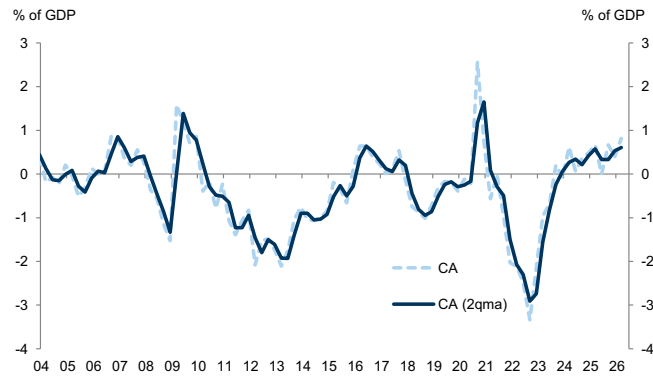
Source: Markit, Haver Analytics, Goldman Sachs Global Investment Research

External and fiscal balances



Source: Haver Analytics, Goldman Sachs Global Investment Research

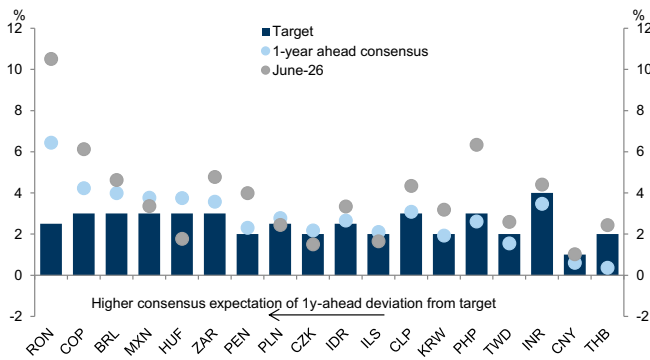
EM average current account balance



Average of BRL, CLP, CNY, COP, CZK, HUF, IDR, INR, KRW, MXN, MYR, PLN, THB, TRY and ZAR.

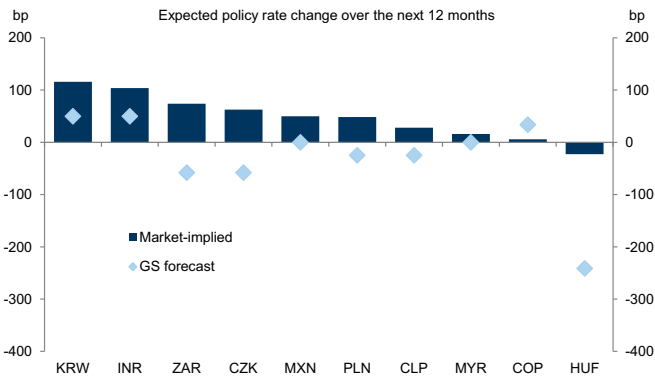
Source: Haver Analytics, Goldman Sachs Global Investment Research

Consensus inflation expectations vs. 1-year realised and Central Bank’s targets



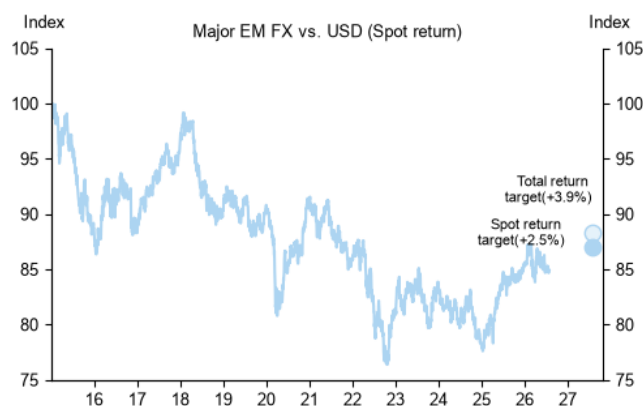
Source: Consensus Economics, Haver Analytics, Goldman Sachs Global Investment Research

GS and market-implied policy rate change on a 12-month horizon

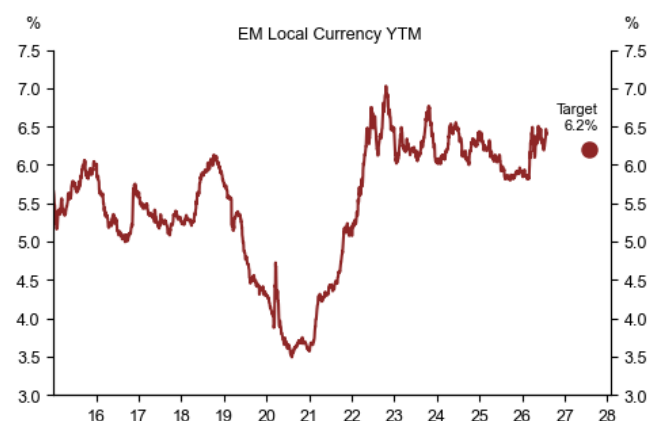


Source: Bloomberg, Goldman Sachs Global Investment Research

Market forecasts and valuations



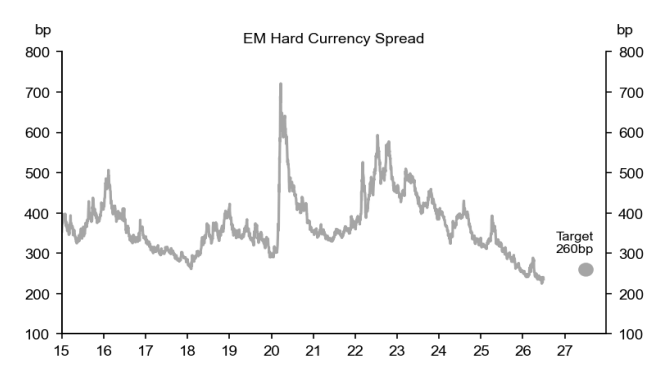
Source: Goldman Sachs, Goldman Sachs Global Investment Research



Source: Bloomberg, Goldman Sachs Global Investment Research

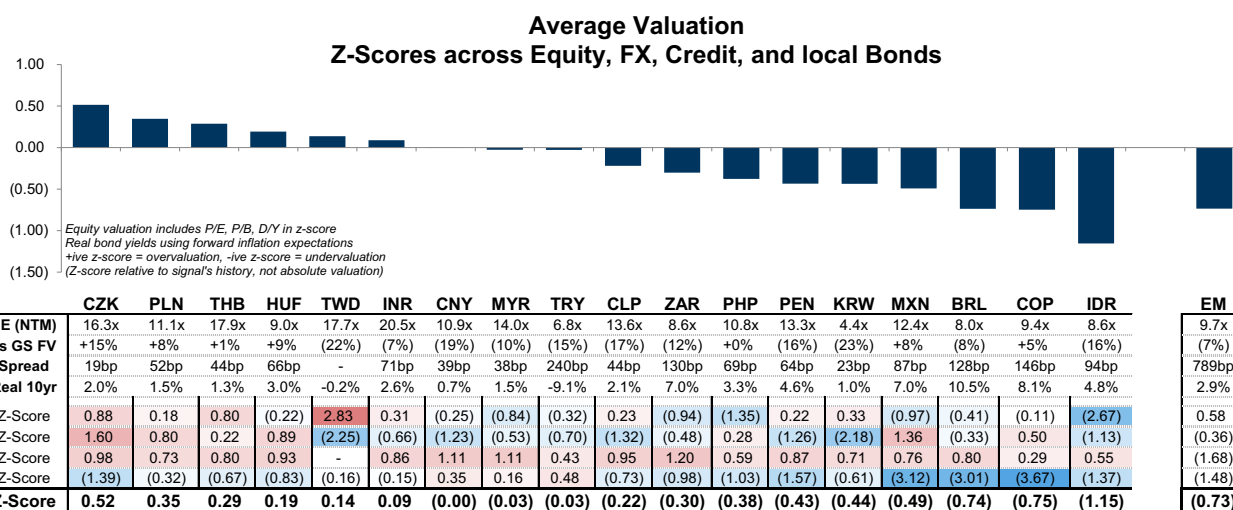


Source: Datastream, Goldman Sachs Global Investment Research



Source: Haver Analytics, Goldman Sachs Global Investment Research

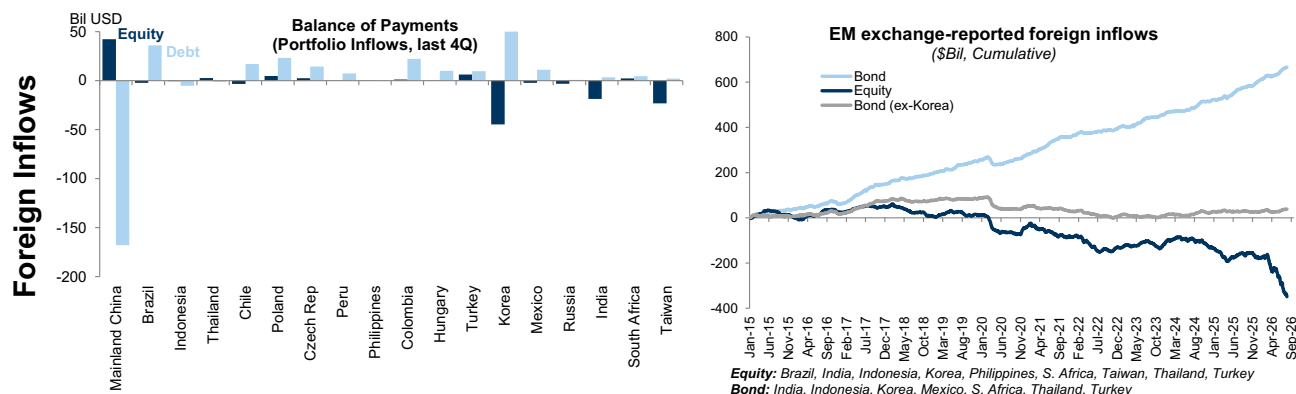
EM cross asset valuation



Source: FactSet, Datastream, Goldman Sachs Global Investment Research

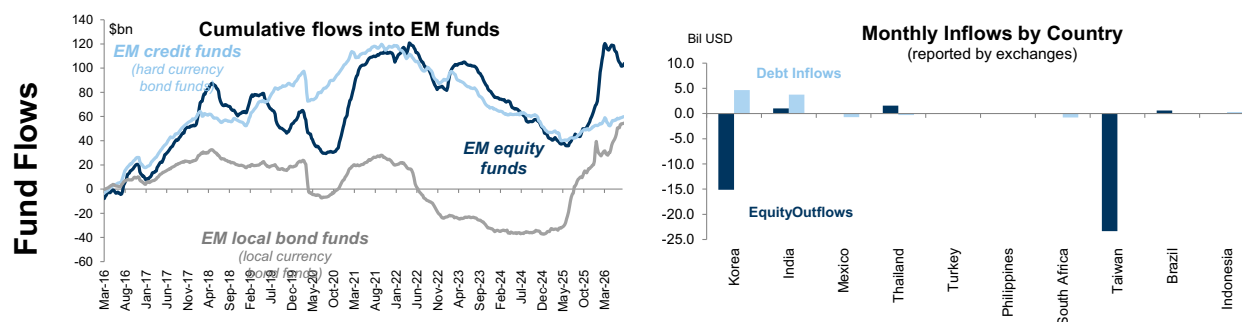
Flows and Positioning

EM portfolio investment and exchange-reported foreign flows



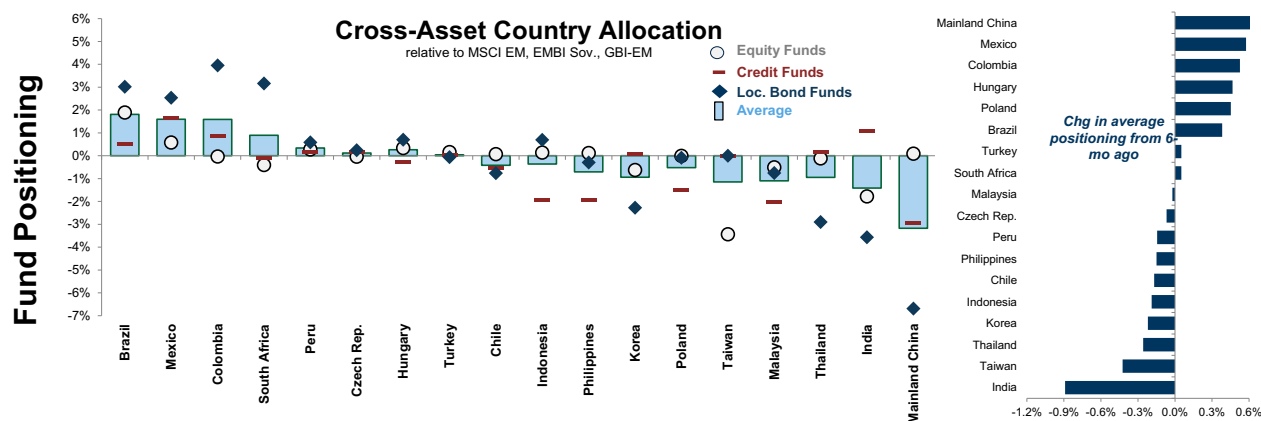
Source: Haver Analytics, Bloomberg, Goldman Sachs Global Investment Research

Cumulative flows into EM mutual funds



Source: EPFR, Bloomberg, Goldman Sachs Global Investment Research

Cross-asset mutual fund positioning



Source: EPFR, Goldman Sachs Global Investment Research

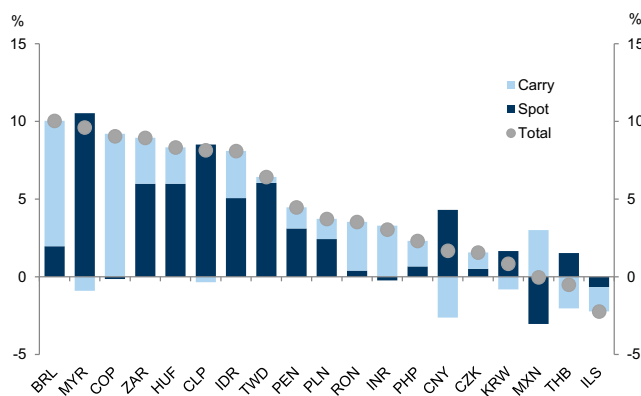
EM Currencies

		Spot	L3M spot return (%)	Forecast			12M return forecast (%)			Fair value			Valuation* (%)		
				3M	6M	12M	Spot	Carry	Total	GSDEER	GSFEER	60/40 Avg	GSDEER	GSFEER	60/40 Avg
vs. USD	ARS	1470.6	-5.1	1500.0	1600.0	1800.0	-18.3								
	BRL	5.10	-2.5	4.90	5.00	5.00	2.0	8.1	10.0	4.38	5.34	4.76	-14.1	4.7	-6.6
	CLP	933	-2.3	920	900	860	8.5	-0.4	8.2	680	861	752	-27.2	-7.7	-19.4
	CNY	6.78	1.2	6.80	6.70	6.50	4.3	-2.6	1.7	5.07	6.13	5.49	-25.3	-9.5	-19.0
	COP	3195	16.5	3350	3300	3200	-0.1	9.2	9.1	3721	3820	3760	16.4	19.5	17.7
	CZK	21.24	-1.7	21.49	21.79	21.61	-1.7	-0.4	-2.1	25.62	21.92	24.14	20.6	3.2	13.6
	HUF	319	-2.1	311	313	308	3.7	0.9	4.5	323	356	336	1.0	11.5	5.2
	IDR	18072	-3.6	17000	17100	17200	5.1	3.0	8.1	14438	16148	15122	-20.1	-10.6	-16.3
	ILS	3.08	-3.9	3.00	3.05	3.10	-0.7	-1.6	-2.2	3.73	3.26	3.54	21.2	5.9	15.1
	INR	95.8	-0.7	94.0	95.0	96.0	-0.2	3.3	3.0	85.6	87.1	86.2	-10.6	-9.1	-10.0
	KRW	1443	2.3	1460	1440	1420	1.7	-0.8	0.8	1195	1173	1186	-17.2	-18.8	-17.8
	MXN	17.45	0.4	17.75	18.00	18.00	-3.0	3.0	0.0	20.36	17.88	19.37	16.6	2.4	11.0
	MYR	4.09	-3.3	3.90	3.80	3.70	10.5	-0.9	9.6	3.30	4.10	3.62	-19.4	0.4	-11.5
	NGN	1366	0.5	1325	1300	1250	9.3								
	PEN	3.40	3.0	3.40	3.35	3.30	3.1	1.4	4.5	2.82	2.98	2.88	-17.2	-12.4	-15.3
	PHP	61.4	0.3	62.0	61.0	61.0	0.7	1.6	2.3	59.8	63.7	61.4	-2.6	3.7	-0.1
	PLN	3.80	-4.2	3.77	3.79	3.79	0.2	-0.1	0.0	4.08	3.84	3.98	7.3	1.1	4.8
	RON	4.60	-3.4	4.52	4.63	4.69	-1.9	1.7	-0.1		5.34			16.1	
	RUB	80.0	-6.3	80.00	85.00	90.00	-11.1	11.6	0.4	82.2	75.2	79.4	2.8	-6.0	-0.7
	THB	33.50	-2.2	34.00	33.50	33.00	1.5	-2.0	-0.5	32.35	34.64	33.26	-3.4	3.4	-0.7
TRY	47.38	-4.6	48.00	50.00	54.00	-12.3	36.4	24.1	34.47	46.19	39.16	-27.3	-2.5	-17.4	
TWD	32.3	-2.1	31.5	31.0	30.5	6.0	0.4	6.4	24.5	24.7	24.6	-24.1	-23.7	-23.9	
UAH	44.89	-2.0	46.00	48.00	52.00	-13.7	10.6	-3.1							
ZAR	16.69	0.7	16.50	16.00	15.75	6.0	3.0	8.9	12.98	16.67	14.46	-22.2	-0.1	-13.4	
vs. EUR	CZK	24.32	0.4	24.50	24.40	24.20	0.5	1.1	1.6	30.36	25.03	28.23	24.8	2.9	16.1
	HUF	366	0.0	355	350	345	6.0	2.3	8.3	382	406	392	4.5	11.1	7.2
	PLN	4.35	-2.1	4.30	4.25	4.25	2.4	1.3	3.7	4.83	4.39	4.66	11.0	0.8	6.9
	RON	5.27	-1.5	5.15	5.18	5.25	0.4	3.1	3.5		6.10			15.7	
	RUB	91.6	-4.2	91.20	95.20	100.80	-9.1	13.2	4.0	97.5	85.9	92.8	6.4	-6.2	1.3

*A positive value signals overvaluation.

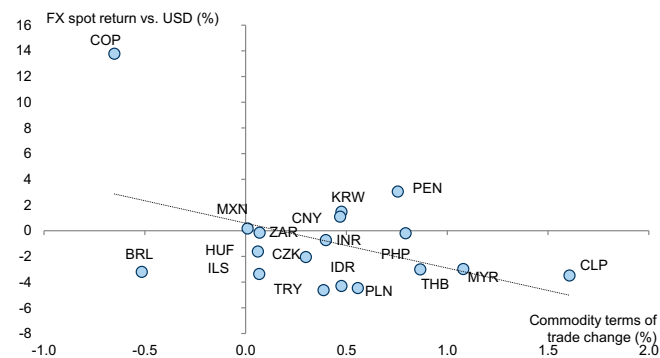
Source: Goldman Sachs, Goldman Sachs Global Investment Research

12-month return forecasts vs. USD CEE currencies vs. EUR



Source: Goldman Sachs, Goldman Sachs Global Investment Research

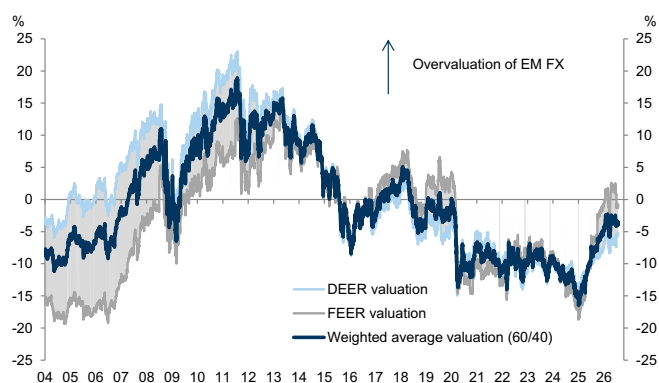
Last 3-month commodity terms of trade change and spot return vs. USD



Source: Goldman Sachs, Goldman Sachs Global Investment Research

Valuation of EM* FX vs. USD

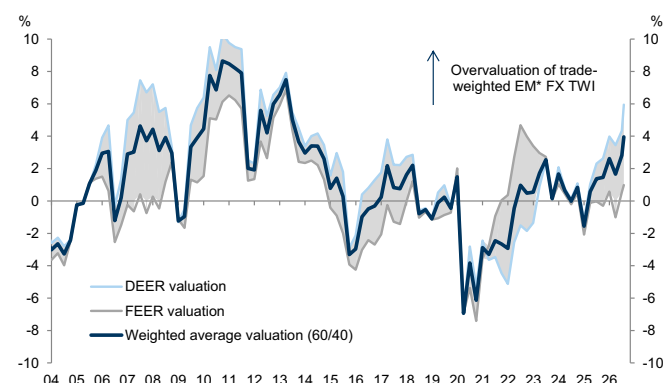
CEE currencies vs. EUR



*Average of 15 countries.

Source: Goldman Sachs, Goldman Sachs Global Investment Research

Trade-weighted valuation of EM* FX

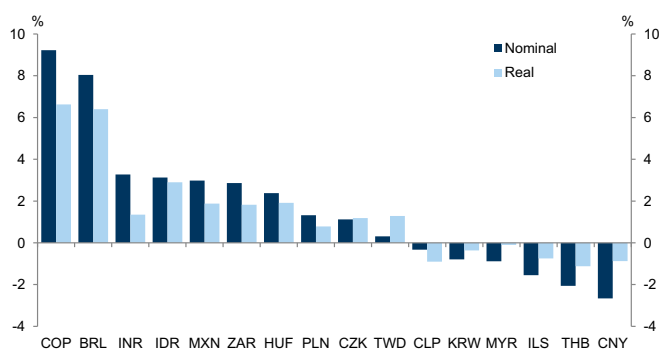


*Average of 15 countries.

Source: Goldman Sachs, Goldman Sachs Global Investment Research

Nominal and real 1-year carry vs. USD

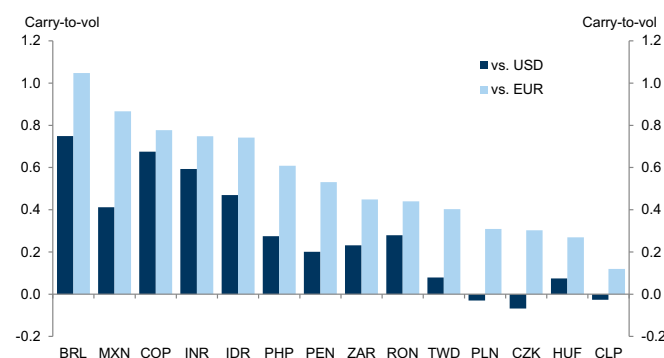
CEE currencies vs. EUR



Source: Consensus Economics, Goldman Sachs, Goldman Sachs Global Investment Research

Carry-to-vol

12-month carry to 3-month annualized realized volatility



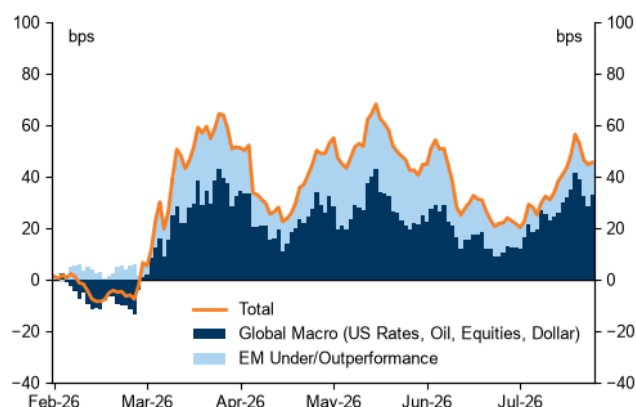
Source: Goldman Sachs, Goldman Sachs Global Investment Research

EM Local Rates																				
	Nominal Swap Rates						Slopes						Real Swap Rates						Bloomberg Yield (%)	Barclays Currency L3M USD return (%)
	Spot (%)			L3M change (bp)			Spot (%)			L3M change (bp)			Current (%)			His. percentile				
	2Y	5Y	10Y	2Y	5Y	10Y	2s5s	5s10s	2s10s	2s5s	5s10s	2s10s	2Y	5Y	10Y	2Y	5Y	10Y		
BRL	14.12	14.51	14.65	39	84	97	0.39	0.14	0.53	45	13	58	9.99	10.87	11.33	97	96	99	13.92	-1.35
CLP	4.70	5.04	5.39	-19	-3	8	0.34	0.36	0.70	16	12	28	1.20	1.75	2.25	58	63	72	5.39	-3.15
CNY	1.43	1.51	1.63	-4	-6	-9	0.08	0.12	0.20	-2	-2	-5	0.31	0.01	-0.11	38	7	4	1.49	1.92
COP	11.46	10.55	10.34	-81	-121	-115	-0.91	-0.21	-1.13	-41	6	-35	6.00	6.15	6.64	98	96	96	12.03	23.17
CZK	4.43	4.54	4.64	24	16	12	0.11	0.09	0.21	-7	-4	-11	2.07	2.34	2.53	99	100	100	4.53	-1.30
HUF	5.41	5.17	5.04	-87	-70	-66	-0.24	-0.13	-0.37	17	4	21	1.98	1.92	1.91	68	62	50	5.34	1.53
IDR	7.12	7.22	7.31	79	65	52	0.09	0.10	0.19	-14	-13	-27	4.18	4.46	4.67	97	96	89	7.27	-5.70
ILS	3.38	3.48	3.76	-24	-14	-9	0.10	0.28	0.38	10	5	15	1.19	1.37	1.69	84	80	69	3.75	-1.85
INR	6.07	6.36	6.56	-19	-27	-29	0.29	0.20	0.49	-8	-2	-10	1.55	2.06	2.41	68	83	78	6.85	2.30
KRW	3.77	4.01	4.13	14	22	30	0.25	0.11	0.36	8	8	16	1.50	1.86	2.05	98	100	100	4.21	-3.63
MXN	7.19	7.83	8.31	-6	-4	3	0.65	0.48	1.12	2	6	8	3.25	4.30	5.04	63	77	85	8.69	2.69
MYR	3.57	3.61	3.79	17	13	9	0.04	0.19	0.23	-4	-3	-8	1.54	1.60	1.79	93	94	80	3.69	-2.59
PLN	4.15	4.34	4.67	-29	-21	-9	0.19	0.33	0.52	8	12	20	1.23	1.60	2.05	74	79	78	4.89	-2.76
THB	1.35	1.75	2.15	7	7	5	0.40	0.40	0.80	0	-2	-2	-0.18	0.10	0.43	39	38	43	2.13	-2.12
ZAR	7.41	7.60	8.16	-4	-4	0	0.20	0.56	0.76	-1	4	4	3.89	4.31	5.01	99	99	96	8.68	3.27
EM (10% Cap)																			6.39	0.02

Source: Bloomberg, Goldman Sachs, Goldman Sachs Global Investment Research

Contribution of local and global shocks to country-specific 5Y IRS performance

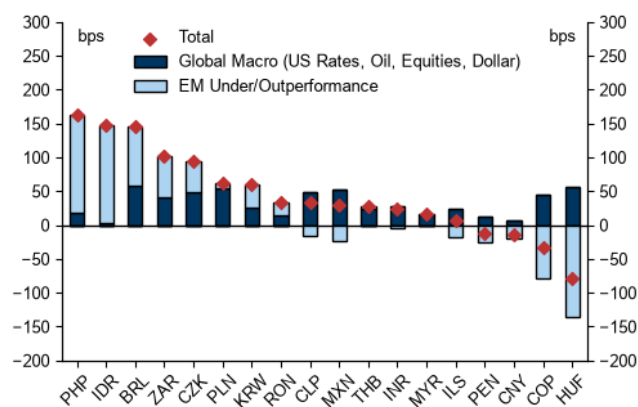
Performance over the past 6 months



Source: Goldman Sachs Global Investment Research, Bloomberg

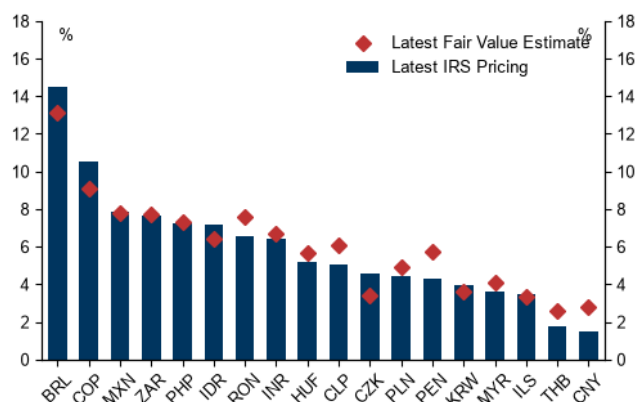
Contribution of local and global shocks to country-specific 5Y IRS performance

Performance over the past 6 months



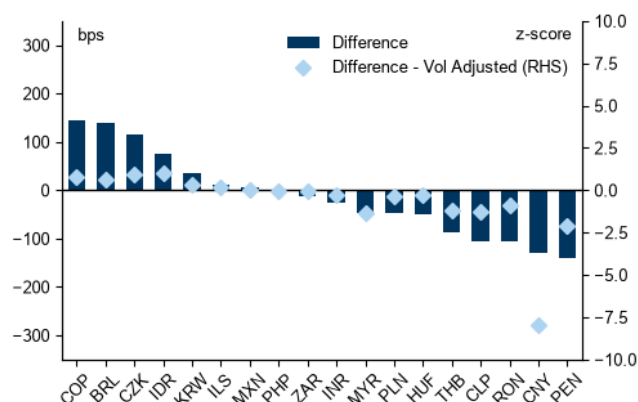
Source: Goldman Sachs Global Investment Research, Bloomberg

Latest 5Y fair value estimate vs. IRS pricing



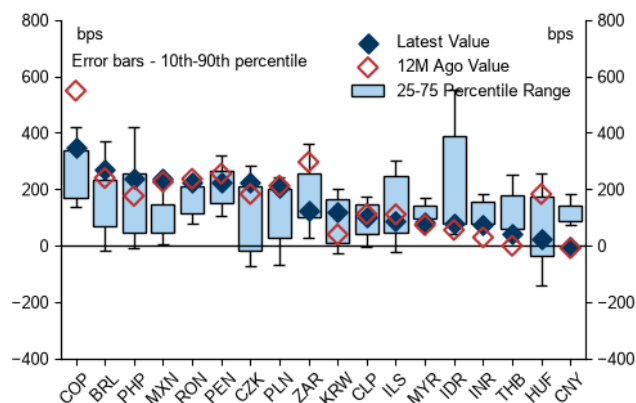
Source: Goldman Sachs Global Investment Research, Bloomberg

Latest 5Y fair value estimate vs. valuation gap



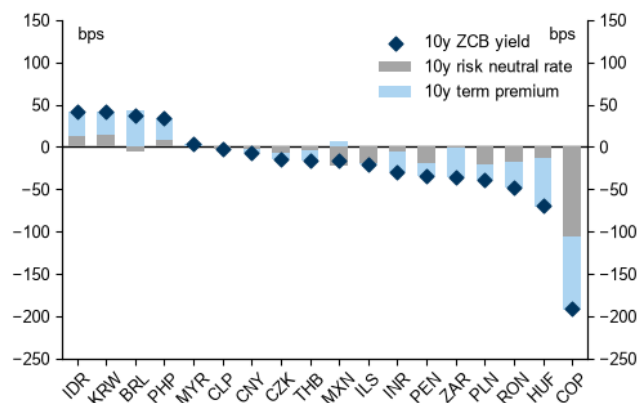
Source: Goldman Sachs Global Investment Research, Bloomberg

Current 10-year local bond term premia estimates vs. historical interquartile range



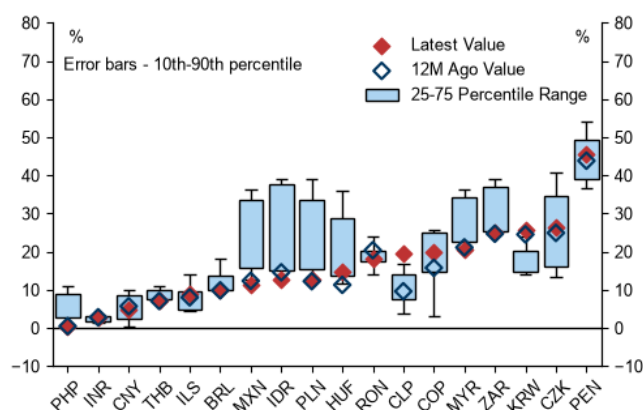
Source: Bloomberg, Goldman Sachs Global Investment Research

Decomposition of last three-month 10y rate changes in risk-neutral rate and term premium



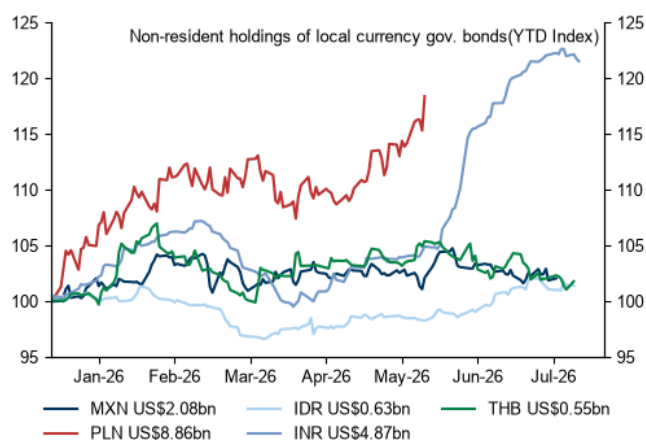
Source: Bloomberg, Goldman Sachs Global Investment Research

Local currency government bond foreign ownership vs. last 16-year range



Source: Haver Analytics, Goldman Sachs Global Investment Research

Year-to-Date Index of foreign ownership of EM local debt government bonds



USD amount is our estimate, accounting for USD FX rate at the day of change in holdings

Source: Goldman Sachs Global Investment Research, Haver Analytics, Bloomberg

EM Equities

	wgt	Index	Current	12-mo	Equities Performance (%)			P/E	P/B	D/Y	EPS % change (NTM)						Consensus	
					Local		USD				Local			USD			2026E	2027E
					1w	ytd	ytd				1m	3m	12m	1m	3m	12m		
Greece	0.6%	ASE	2540	2600	6.4	19.8	16.6	10.9	1.6	5.0	-3.7	-3.1	5.9	-5.7	-3.8	3.1	12%	14%
China	22.7%	MXCN	76	85	4.2	-11.9	-8.8	10.9	1.5	3.7	-1.3	-1.9	-0.9	-1.6	-0.1	4.6	17%	17%
Colombia	0.2%	COLCAP	2305	2400	4.2	19.7	34.6	9.4	1.8	6.4	1.8	5.3	23.5	8.1	11.7	46.3	22%	11%
Hungary	0.4%	BUX	145081	150000	3.6	32.3	34.8	9.0	1.6	3.9	0.9	2.5	10.6	-1.7	10.3	20.9	9%	11%
Czech Rep	0.1%	PX	2684	2350	3.3	-1.2	-4.4	16.3	2.3	6.0	2.8	-0.2	5.6	0.8	0.3	4.8	9%	-2%
Poland	1.2%	WIG	144847	125000	2.3	21.0	15.2	11.1	1.9	5.9	1.9	6.6	16.2	-1.8	5.7	11.7	31%	10%
Egypt	0.1%	EGX30	53627	54000	1.7	28.4	22.2	6.8	2.4	5.2	1.4	4.6	20.8	7.7	16.1	21.7	0%	13%
UAE	1.3%	DFMGI	5797	6300	1.3	-3.1	-3.0	8.8	1.8	5.2	-1.5	-2.1	11.8	-1.5	-2.1	11.8	-1%	12%
South Africa	3.1%	JSE 40	102328	122000	1.0	-8.0	-9.4	8.6	2.2	5.2	0.8	2.2	40.9	-0.4	6.7	52.8	36%	12%
Brazil	4.3%	IBOV	173885	215000	0.9	4.1	10.3	8.0	1.8	7.6	1.7	10.7	18.8	-0.6	11.7	25.3	39%	3%
Chile	0.5%	IPSA	10936	11500	0.2	0.7	-3.5	13.6	2.2	3.4	0.9	10.5	8.7	-2.6	11.9	10.0	-2%	6%
India	12.3%	NIFTY	24250	26500	0.0	-4.1	-10.5	20.5	3.3	1.5	1.1	2.7	10.3	1.4	2.9	-0.1	13%	16%
Mexico	1.8%	MEXBOL	66480	72000	-0.2	6.0	8.5	12.4	2.4	4.1	0.9	1.3	12.9	0.1	4.6	22.1	12%	8%
Peru	0.4%	MSCI Peru	3849	3600	-0.6	28.9	27.8	13.3	3.4	3.4	1.2	5.3	43.5	1.4	7.8	49.3	25%	4%
Malaysia	1.0%	FBMKLIC	1716	1820	-0.9	2.7	1.9	14.0	1.6	4.8	2.6	3.9	5.7	-0.2	3.1	9.2	10%	5%
Qatar	0.5%	DSM	10007	10000	-1.0	-7.9	-7.9	10.1	1.4	5.0	-0.7	-5.2	-0.3	-0.7	-5.2	-0.3	-1%	14%
Philippines	0.3%	PCOMP	6353	6200	-1.3	12.0	7.6	10.8	1.7	3.8	1.3	-0.5	6.4	1.6	-1.5	-2.4	0%	11%
Thailand	1.1%	SET	1624	1650	-1.3	28.9	22.3	17.9	2.2	3.4	0.6	6.0	11.1	-1.5	5.2	8.7	13%	5%
Saudi Arabia	3.3%	SASEIDX	10544	12000	-1.5	0.9	0.8	13.2	2.1	4.4	0.8	3.3	12.1	0.7	3.2	11.9	10%	9%
Turkey	0.4%	XU100	13502	15000	-1.6	24.9	14.6	6.8	1.1	3.7	0.0	4.9	6.8	-1.6	0.0	-8.9	39%	46%
Indonesia	0.5%	JCI	6091	6300	-3.4	-33.9	-42.2	8.6	1.5	10.1	1.1	-5.0	-16.4	1.0	-9.7	-24.1	3%	8%
Taiwan	26.0%	TWSE	40039	51000	-5.4	43.5	40.4	17.7	5.3	1.5	4.5	16.6	53.4	2.8	17.0	40.6	53%	27%
Korea	18.0%	KOSPI	5663	12000	-18.0	49.8	49.3	4.4	2.2	0.5	10.9	73.0	345.7	7.9	71.1	288.3	317%	38%
EM (USD)	-	MSCI EM	1560	2000	-4.2	12.8	11.1	9.7	2.3	2.2	4.0	22.0	60.5	2.6	22.0	53.3	66%	25%

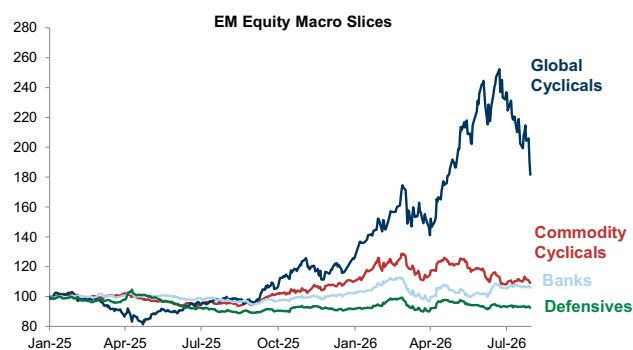
Source: FactSet, Goldman Sachs Global Investment Research

EM Regional Performance

Annual Returns in USD								
	North Asia	EM Europe	LatAm	MENA	ASEAN	China	S. Africa	India
2015	(11%)	(31%)	(33%)	(24%)	(21%)	(10%)	(27%)	(7%)
2016	10%	(5%)	28%	4%	6%	(1%)	15%	(3%)
2017	36%	40%	21%	1%	24%	51%	33%	37%
2018	(18%)	(26%)	(9%)	12%	(10%)	(20%)	(27%)	(9%)
2019	20%	3%	15%	5%	3%	21%	7%	6%
2020	40%	(14%)	(16%)	(6%)	(9%)	27%	(6%)	14%
2021	6%	0%	(14%)	30%	(5%)	(23%)	1%	25%
2022	(32%)	(9%)	0%	(7%)	(3%)	(24%)	(7%)	(9%)
2023	24%	25%	25%	2%	(5%)	(13%)	(2%)	20%
2024	7%	1%	(30%)	1%	(2%)	16%	4%	11%
2025	55%	49%	46%	2%	1%	28%	73%	3%
1W	(15%)	1%	(2%)	(1%)	(1%)	2%	2%	2%
YTD	43%	16%	11%	(1%)	(5%)	(9%)	(9%)	(10%)

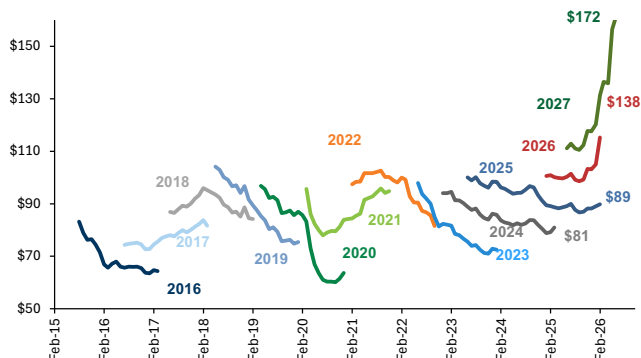
Source: FactSet, Goldman Sachs Global Investment Research

EM Macro Slices Performance



Source: Goldman Sachs Global Investment Research, FactSet

Earnings Revisions for MSCI EM



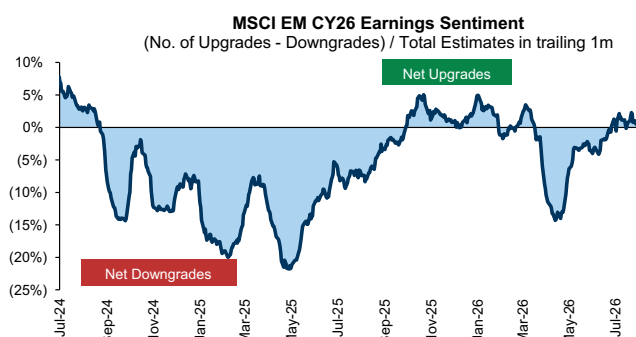
Source: FactSet, I/B/E/S, MSCI, Goldman Sachs Global Investment Research

EM Markets EPS Growth and Revisions

	EPS Growth		EPS Revision (1 Week)		EPS Revision (1 Month)	
	2026	2027	2026	2027	2026	2027
Brazil	39%	3%	2.2%	-0.1%	0.1%	-1.5%
Chile	-2%	6%	0.7%	0.6%	2.7%	2.1%
China	17%	17%	0.1%	-0.1%	0.5%	0.2%
Colombia	22%	11%	0.1%	0.1%	2.8%	2.5%
Czech Republic	9%	-2%	0.0%	-0.3%	1.0%	1.5%
Egypt	0%	13%	-0.9%	-1.9%	-0.6%	-1.0%
Greece	12%	14%	0.3%	0.3%	0.6%	1.1%
India	13%	16%	-0.2%	-0.2%	-0.1%	-0.1%
Indonesia	3%	8%	-0.2%	-0.1%	-0.6%	-0.5%
Korea	317%	38%	1.7%	0.2%	3.6%	3.8%
Kuwait	3%	8%	0.7%	0.2%	2.2%	0.6%
Malaysia	10%	5%	0.0%	0.1%	-0.1%	0.0%
Mexico	12%	8%	0.2%	0.1%	-1.0%	-0.8%
Peru	25%	4%	0.0%	-0.1%	1.6%	2.8%
Philippines	0%	11%	-0.3%	-0.1%	-0.3%	0.1%
Poland	31%	10%	0.7%	0.2%	2.1%	1.0%
Qatar	-1%	14%	0.0%	0.1%	1.0%	-0.2%
Saudi Arabia	10%	9%	0.0%	0.0%	-0.8%	-0.7%
South Africa	36%	12%	1.3%	1.1%	-1.8%	-2.1%
Taiwan	53%	27%	0.8%	1.2%	5.6%	7.0%
Thailand	13%	5%	0.6%	0.6%	2.4%	1.5%
Hungary	9%	11%	-0.2%	-0.3%	0.4%	1.5%
Turkiye	39%	46%	-1.6%	-3.0%	-3.4%	-4.2%
UAE	-1%	12%	0.5%	0.2%	1.9%	1.3%
MSCI EM	66%	25%	0.9%	0.3%	2.2%	2.4%

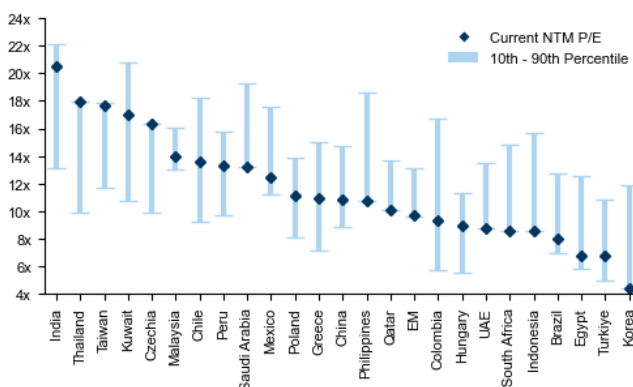
Source: FactSet, I/B/E/S, MSCI, Goldman Sachs Global Investment Research

EM CY2026 Earnings Sentiment



Source: FactSet, I/B/E/S, MSCI, Goldman Sachs Global Investment Research

Valuation dispersion persists across EM markets



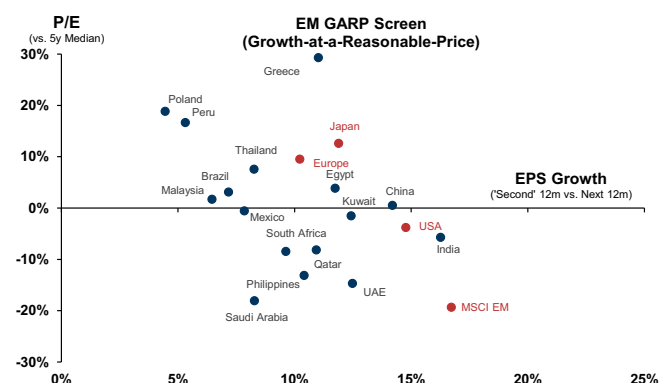
Source: FactSet, MSCI, Goldman Sachs Global Investment Research

EM Markets Valuation Z-scores

	Current			Z-Score [10-years]			Average
	PE	PB	DY	PE	PB	DY	
Indonesia	8.6	1.6	7.9	(3.1)	(2.7)	(3.4)	(3.1)
Qatar	10.1	1.4	4.9	(1.4)	(1.2)	(1.5)	(1.4)
Philippines	10.8	1.7	3.1	(1.3)	(0.7)	(1.8)	(1.3)
Saudi Arabia	13.2	2.1	3.9	(1.5)	(0.2)	(0.7)	(0.8)
Egypt	6.8	2.4	4.1	(0.5)	0.0	(1.5)	(0.6)
China	10.9	1.5	2.3	(0.5)	(0.6)	(0.4)	(0.5)
South Africa	8.6	2.2	3.6	(1.1)	0.7	(0.8)	(0.4)
Malaysia	14.0	1.6	3.9	(0.6)	0.4	(0.8)	(0.3)
Mexico	12.4	2.4	3.9	(0.6)	0.9	(1.3)	(0.3)
UAE	8.8	1.8	4.9	(1.0)	0.9	(0.6)	(0.2)
Brazil	8.0	1.8	5.7	(0.7)	0.1	0.0	(0.2)
India	20.5	3.3	1.2	0.2	(0.2)	0.1	0.0
Hungary	9.0	1.6	3.3	0.4	1.1	(0.9)	0.2
Kuwait	17.0	2.2	3.4	0.1	0.8	(0.2)	0.2
Turkiye	6.8	1.1	2.2	0.6	(0.6)	0.9	0.3
Greece	10.9	1.6	3.1	0.5	0.9	(0.3)	0.4
Korea	4.4	2.2	1.0	(3.4)	2.5	2.3	0.5
Thailand	17.9	2.2	3.0	1.1	1.2	(0.2)	0.7
Poland	11.1	1.9	3.9	0.4	2.9	(0.7)	0.9
Peru	13.3	3.4	3.2	0.5	2.6	(0.2)	1.0
Colombia	9.4	1.8	4.6	0.0	2.8	0.2	1.0
Chile	13.6	2.2	2.9	0.1	2.6	0.5	1.1
Czechia	16.3	2.3	5.2	1.5	1.6	0.6	1.2
Taiwan	17.7	5.3	1.6	1.1	3.5	2.1	2.2
EM	9.7	2.3	2.1	(2.3)	2.4	1.2	0.4

Source: FactSet, MSCI, Goldman Sachs Global Investment Research

P/E vs Earnings Growth



Source: FactSet, MSCI, Goldman Sachs Global Investment Research

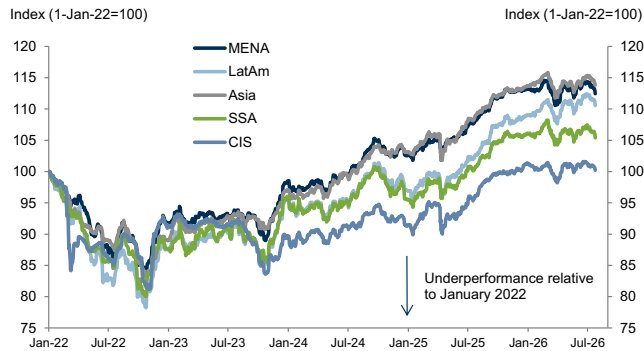
EM Sovereign Credit

Rating	ISO Code	Country	Duration	Sovereign Spread (bp)				Return (%)		Valuations (~5-year)		
				Spread	Pct. Rank	2wk ch.	YTD ch.	2wk	YTD	Generic sovereign spread	Model-implied signal	Misalignment (Actual minus implied)
Medians		LatAm	7.4	154	9%	2	5	-1.0	1	169	247	-108
		CEE/Balkans	6.9	92	7%	5	-10	-1.0	-1	97	166	-70
		CIS	5.2	140	0%	-4	-54	-0.7	-1	404	397	6
		SSA	5.4	390	3%	12	1	-0.4	3	453	594	-140
		Asia	5.0	115	28%	29	-24	-0.9	0	125	318	-162
		MENA	5.8	114	8%	8	-1	-1.1	-1	434	497	-17
		A	7.1	70	59%	12	4	-1.1	-1	39	139	-90
		BBB	7.4	95	5%	11	-4	-1.0	0	68	167	-99
		BB	6.4	155	0%	-3	-28	-1.0	1	277	302	-26
		B	4.5	304	1%	10	-8	-0.5	2	261	454	-201
		IG	7.3	96	0%	4	-19	-1.1	-1	55	158	-96
		HY	5.0	304	1%	10	-8	-0.7	2	256	365	-112
		EM Hard Currency	-	244	5%	11	-145	-	-	229	344	-110
A	CHL	Chile	8.8	64	8%	6	-3	-1.3	-1	55	93	-38
	POL	Poland	7.5	70	26%	2	4	-0.8	-1	41	77	-36
	SAU	Saudi Arabia	6.7	84	-	7	11	-1.2	-1	60	149	-89
BBB	HUN	Hungary	6.9	96	5%	7	-28	-1.1	2	80	118	-37
	IDN	Indonesia	7.4	83	49%	10	19	-1.5	-3	62	170	-108
	MEX	Mexico	7.4	154	19%	2	5	-0.9	0	39	204	-164
	OMN	Oman	6.0	95	10%	11	-4	-1.0	0	63	109	-46
	PER	Peru	9.4	86	2%	5	-9	-1.3	0	32	143	-111
BB	PHL	Philippines	7.3	79	39%	14	18	-1.7	-2	57	226	-169
	ROM	Romania	6.1	169	14%	12	14	-1.2	0	149	287	-138
	BRA	Brazil	6.8	155	1%	-3	-26	-0.5	2	111	182	-71
	COL	Colombia	6.4	181	1%	1	-91	-0.6	7	232	261	-29
	CRI	Costa Rica	8.5	126	3%	5	-6	-1.1	0	159	171	-13
B	DOM	Dominican Republic	7.4	171	7%	13	3	-1.6	0	144	208	-64
	CIV	Ivory Coast	5.6	229	2%	19	-20	-1.5	2	181	377	-197
	JOR	Jordan	4.5	187	2%	22	-30	-1.1	2	165	236	-70
	MAR	Morocco	5.9	114	8%	8	-1	-1.0	0	111	81	30
	ZAF	South Africa	6.5	153	2%	5	-30	-1.2	1	97	278	-181
B	TUR	Turkey	5.0	237	23%	15	49	-1.1	-1	231	280	-49
	AGO	Angola	5.4	390	0%	-19	-154	0.6	11	301	472	-170
	BHR	Bahrain	5.3	300	85%	29	94	-1.7	-4	221	411	-190
	EGY	Egypt	5.8	329	6%	26	30	-2.2	0	244	546	-302
	KEN	Kenya	5.5	409	6%	31	19	-2.0	1	370	564	-194
	MNG	Mongolia	3.7	228	16%	6	13	-0.3	4	149	230	-81
	NGA	Nigeria	5.7	245	0%	-9	-67	0.0	5	231	412	-181
	PAK	Pakistan	3.6	308	1%	29	-50	-1.2	3	356	645	-289

Valuations as of 1st June. For more details, please see the latest update of the EM sovereign credit model by clicking on the table above.

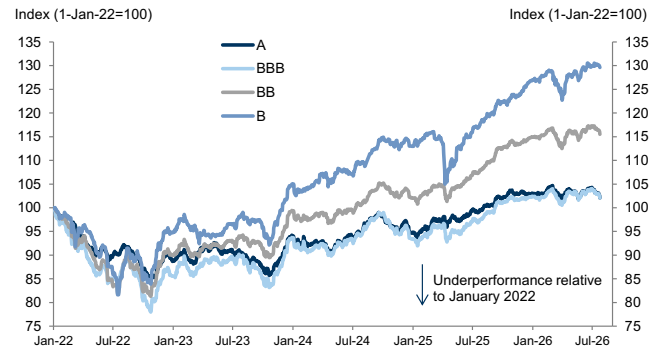
Source: Bloomberg, Haver Analytics, Goldman Sachs Global Investment Research

Median regional relative performance to January 2022



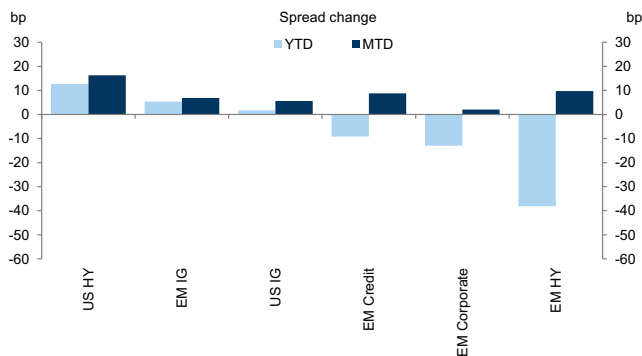
Source: Bloomberg, Goldman Sachs Global Investment Research

Median ratings relative performance to January 2022



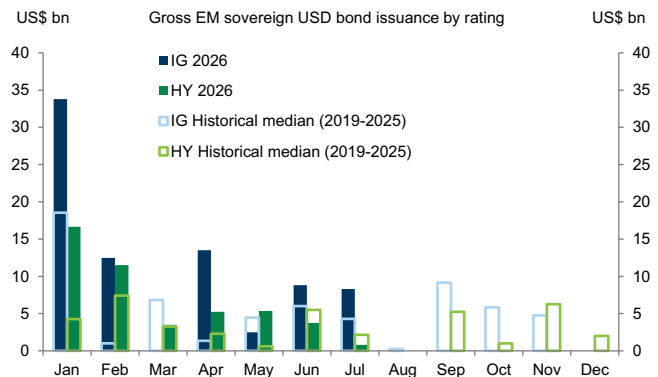
Source: Bloomberg, Goldman Sachs Global Investment Research

YTD and MTD spread performance



Source: Bloomberg, Goldman Sachs Global Investment Research

EM sovereign USD issuance by rating



Source: Bloomberg, Dealogic, Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

We, Kamakshya Trivedi, Sunil Koul, Danny Suwanapruti, Teresa Alves, Tarun Lalwani, CFA, Victor Engel, Lexi Kanter and Mambuna Njie, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

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